



LifePRO[®]
**User Guide and
Field Description Manual**

Reinsurance Book

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TABLE OF CONTENTS

Section 1 Reinsurance System Introduction

Chapter 1	Reinsurance Subsystems	1-4
1.1	Reinsurance Menu Selection	1-5
	Reinsurance Setup Menu	1-6
	Reinsurance Activity Menu	1-7
	Reinsurance Reports	1-8

Section 2 Reinsurance System Setup

Chapter 1	Reinsurance File and Segment Relationships	2-5
Chapter 2	Reinsurance System Menu	2-7
2.1	Reinsurance Setup Menu	2-8
2.2	Retention Limits File	2-9
	Reinsurance Calculate Policy Benefit or Life Example	2-13
	Reinsurance Use Cumulative Retention or Find Example	2-14
	Retention Limits File—Start and Stop Date Example	2-15
	Retention Limits File—Maximum Issue Age Example	2-17
2.3	Treaty Selection File	2-19
	Treaty Selection File Record—Add	2-20
	Treaty Selection File—Single Reinsurer	2-22
	Treaty Selection File—Multiple Reinsurer	2-24
	Treaty Selection File—Selection Code Example	2-25
	Treaty Selection File—Multiple Reinsurer Example	2-26
	Multiple Reinsurer—Excess Field	2-27
2.4	Treaty File	2-29
	Treaty File Record—Add	2-30
	Coinsurance Selection Window	2-38
	Binding Limits Table	2-40
	Conversion Rate ID Field	2-42
	Substandard Reinsurance Premium	2-43
2.5	Reinsurance—Cloning a Treaty	2-44
2.6	Reinsurance—Updating a Treaty	2-45
2.7	Reinsurance Trace Routine	2-47
2.8	Reinsurance Setup Coverage Segments	2-49

Section 3 Reinsurance Activity

Chapter 1	Reinsurance Detail Information	3-5
1.1	Reinsurance Detail Record—Select and Display By Policy.....	3-7
1.2	Reinsurance Info By Policy Summary Record	3-8
1.3	Reinsurance Detail Screen	3-10
	Treaty/Allocation Detailed Information	3-15
	Reinsurance Detail Record—Add	3-19
	Retention Override	3-23
	Reinsurance—Terminate	3-25
1.4	Reinsurance Treaty Selection	3-26
1.5	Reinsurance Info By Treaty Summary Record.....	3-28
1.6	Reinsurance Information By Insured.....	3-30
	Reinsurance Info By Insured Summary Record	3-31
1.7	Reinsurance Adjustments Selection Menu	3-33
Chapter 2	Reinsurance Adjustments	3-34
2.1	Reinsurance Adjustments By Policy.....	3-35
2.2	Reinsurance Adjustments Screen.....	3-37
2.3	Reinsurance Adjustment Record—Add.....	3-40
	Reinsurance Adjustments—Select and Display By Treaty	3-41
	Reinsurance Adjustments By Treaty Summary Record	3-42
	Reinsurance Adjustments—Select and Display By Insured	3-43
	Reinsurance Adjustments By Insured Summary Record	3-44
Chapter 3	Reinsurance Recoverables Selection Menu	3-46
3.1	Reinsurance Recoverables Example.....	3-47
3.2	Reinsurance Recoverables Selection Menu	3-49
3.3	Reinsurance Recoverables By Policy	3-50
	Reinsurance Recoverables By Policy Summary Record	3-51
	Reinsurance Recoverables By Policy Detail Screen	3-52
	Reinsurance Recoverables—Add Recoverable	3-55
	Reinsurance Recoverables By Treaty	3-56
	Reinsurance Recoverables By Treaty Summary Record	3-57
	Reinsurance Recoverables By Insured	3-59
	Reinsurance Recoverables By Insured Summary Record	3-60
3.4	Reinsurance Accounting	3-62
3.5	External Reinsurance Information	3-64

SECTION 1 REINSURANCE SYSTEM INTRODUCTION

Chapter 1	Reinsurance Subsystems	1-4
1.1	Reinsurance Menu Selection	1-5
	Reinsurance Setup Menu	1-6
	Reinsurance Activity Menu	1-7
	Reinsurance Reports	1-8

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Section 1 Reinsurance System Introduction

The LifePRO® Reinsurance System automatically assigns reinsurance information to a benefit. Reinsurance segments provide the link between the Coverage Record and the reinsurance information, defining the amount of reinsurance for a benefit and which reinsurer or reinsurers to assign for a benefit.

Reinsurance is accessed throughout the system. For example, overrides can be made on a policy level through New Business. All Reinsurance Detail Records can be accessed for an individual or business through the Name and Address Subsystem. In addition, Reinsurance Detail Records for a specific policy can be accessed through the Inforce Subsystem from the Contract screen.

The following features are offered by the Reinsurance System.

- Retention limits can be varied by table rating, issue age, or issue date.
- Treaty selection can be varied by issue date, issue age, or face amount of policy.
- A reinsured benefit can be ceded to one or multiple reinsurers.
- Retention and treaty information can be overridden at the benefit level.
- Reinsurance can be terminated on a benefit.
- A reinsurance record for a benefit that is not reinsured can be added.
- Premiums or expense allowances for future reinsurance processing can be adjusted automatically or manually.
- Coinsurance is available to designate if loans, surrenders, or dividends are reported and recovered.
- Death benefits paid from the reinsurer can be recovered and the accounting can be generated for the recoverable amount.
- A variety of reinsurance reports are available.
- A trace routine, which is used to test reinsurance setup, is available.

Through reinsurance processing, premiums are calculated and accounting is generated. This is a monthly process. The Pre-Processing Trial Report can be generated before reinsurance processing is run in order to identify potential errors. Additional reinsurance reports are available to provide backup detail pertaining to system and manual reinsurance transactions. Refer to Section 1, Reinsurance Reports on page 1-8 in this book for a list of reinsurance reports.

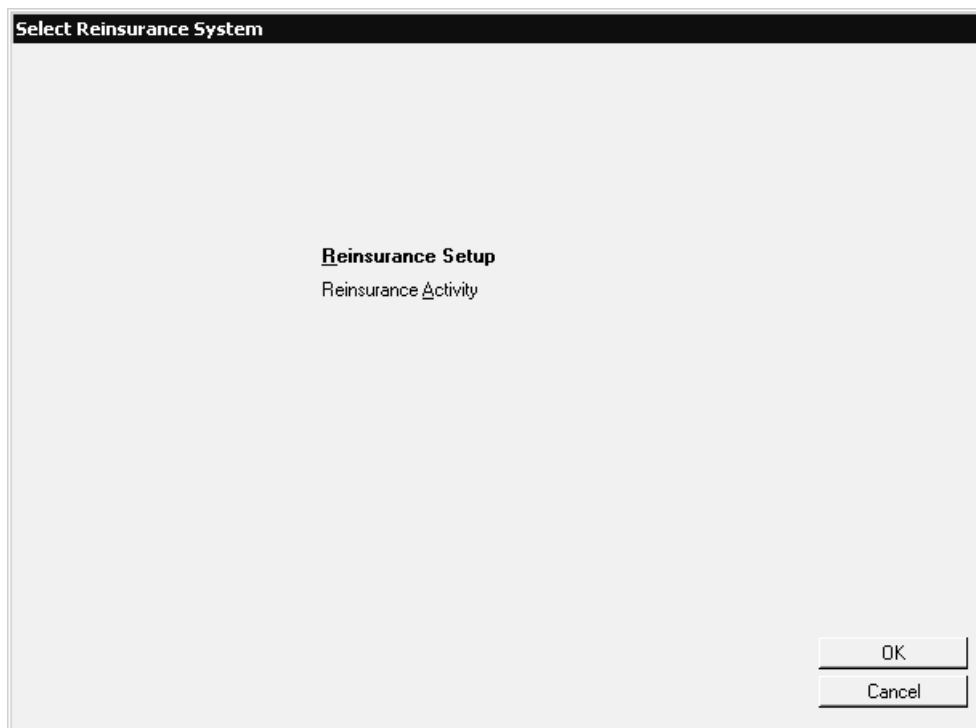
Chapter 1 Reinsurance Subsystems

Reinsurance information is contained in many areas throughout the system. The following list contains a brief description of the various areas from which reinsurance can be accessed.

- **Reinsurance System**—Reinsurance setup and activity functions take place in the Reinsurance System. See the following pages for a description of these options.
- **Reports/Processing—Reinsurance Processing**—Reinsurance processing, reporting options, and monthly reinsurance processing are located in this section. Various reinsurance reports are available that summarize manual and system generated reinsurance transactions. Refer to Section 1, Reinsurance Reports on page 1-8 in this book for a list of reinsurance reports.
- **Management Options**—There are several management options that relate to reinsurance functions. The Generate Reinsurance Accounting field determines if reinsurance accounting is generated. The Reinsurance Conversion Method field offers two methods from which to select a conversion method. One uses a formula for first year and renewal premiums and the other uses the original issue date, age, and underwriting class when calculating reinsurance premiums and expenses for converted policies. The Pay Reinsurance Premium on Suspended field determines if reinsurance recovers and reports premium and expenses for suspended contracts.
- **Product Segments**—Reinsurance related segments are defined in the Product System, including the Retention Limits and Treaty Selection Segments. Reinsurance segments provide a link between the Coverage Record and the reinsurance treaty information.
- **Validation**—Overrides of default reinsurance retention and treaty selection for a policy can be made in validation. In addition, an external reinsurance information record can be added. The external reinsurance record is informational only, does not affect reinsurance processing, and contains information such as reinsurer, ceded amount, shopped or non-shopped, and underwriting basis (automatic or facultative).
- **Name and Address**—The Reinsurance and Inforce Information selection from a Name and Address Record displays reinsurance information for all benefits across all policies for a specific insured.
- **Contract Screen**—The Inquiry Menu allows access to the Reinsurance Detail records for a specific policy or to record external reinsurance data such as reinsurer, ceded amount, shopped or non-shopped, and underwriting basis (automatic or facultative).

1.1 Reinsurance Menu Selection

The Reinsurance System Menu displays two options, Reinsurance Setup and Reinsurance Activity.



- **Reinsurance Setup** includes treaty and retention setup options through the main reinsurance setup screens including Retention Limits File, Treaty Selection File, and Treaty Record.
- **Reinsurance Activity** includes Reinsurance Detail records for a policy, treaty, or insured. The records can be viewed, reinsurance adjustments can be added, and amounts can be recovered from death claims processed can be recorded.

Reinsurance Setup Menu

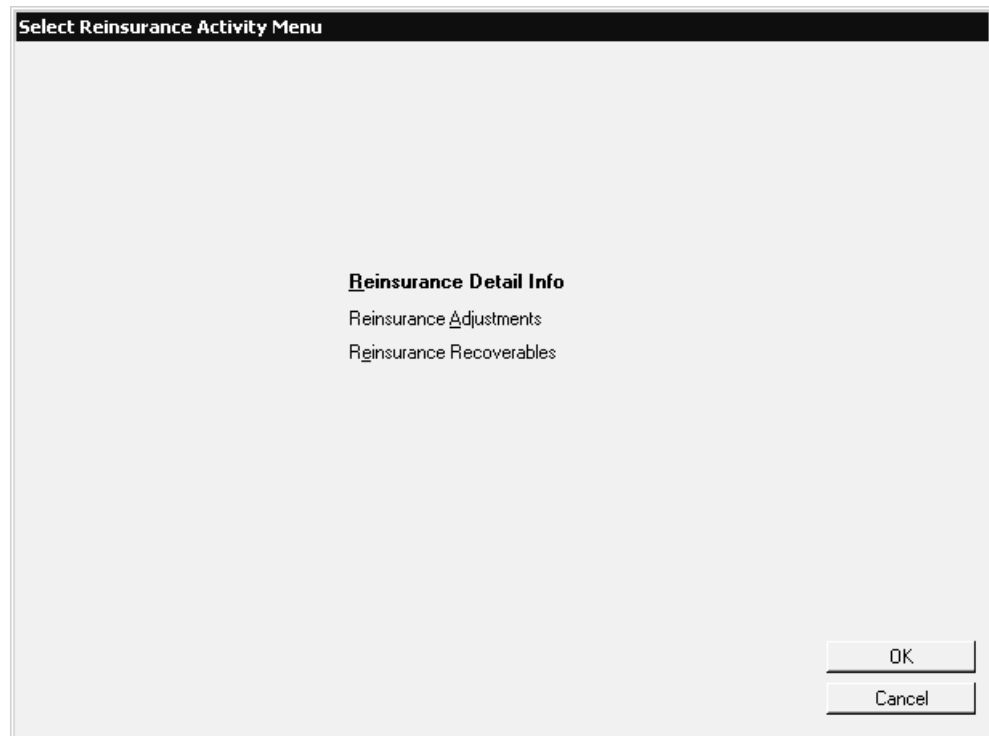
The Reinsurance Setup option from the main Reinsurance Menu displays the files necessary to set up reinsurance processing. The Trace Routine function is used to test the reinsurance setup before reinsurance processing is run in production.



- **Retention Limits File**—This file is used to designate the amount of insurance to retain for a specific benefit. A separate record can be set up for each coverage. For example, the base coverage could have one record and a rider coverage could have a different record. Retention Limits can be set to vary by date or issue age. The Retention File can be accessed through the Reinsurance System or through the RE—Reinsurance Retention Limit Segment. The RE Segment links a Retention Limits File to a coverage.
- **Treaty Selection File**—This file links a Coverage Record and the Reinsurance Treaty File where reinsurance rules are set up for each reinsurer.
- **Treaty File**—This file represents a reinsurer. It defines the rules for the premium paid to the reinsurer, the type of treaty, and the expenses that are deducted from the reinsurance premium. The treaty assigned to a benefit is determined by the Treaty Selection File.
- **Trace Routine**—This option is used to test reinsurance setup.

Reinsurance Activity Menu

The Reinsurance Activity Menu provides access to the reinsurance detail, adjustment, and recoverable information records.



The following options can be accessed from the Reinsurance Activity Menu.

- **Reinsurance Detail Information**—This option provides access to Reinsurance Detail Records. Records are accessed by selecting a policy, treaty, or insured. The detail records summarize reinsurance information for a benefit. In addition, retention limit overrides and reinsurance terminations can be processed from the detail record.
- **Reinsurance Adjustments**—An adjustment record is used to adjust premiums, expenses or coinsurance loans, dividends, and surrenders for a specific treaty. Adjustment records are also created automatically when the system adjusts the reinsurance premium to bring it current. (For example, assume a backdated policy is added to the system that is reinsured. Adjustment records are created for past processing dates when the current reinsurance cycle is processed.)
- **Reinsurance Recoverables**—The Recoverables option is used to record the recovery from the reinsurer when death benefits are paid.

Reinsurance Reports

Reinsurance reports are generated through the Reports/Processing Menu and can be printed or viewed online from spooled reports.

The following reinsurance reports are available.

- **Reinsurance Adjustments Report** provides a listing of all reinsurance adjustments, both manual and system generated.
- **Pre-Processing Trial Report** shows activity that will occur on the next reinsurance run. Any potential errors can be identified before the actual process is run. This report can be run periodically throughout the month. This report also produces a Benefit Change Report, showing any changes in the status of reinsured benefits.
- **Monthly Reinsurance Report** breaks down the month's activity by treaty and shows total amount due.
- **Monthly Reinsurance Report by State** breaks down the month's activity by treaty, then by state. The report also shows the total amount due. The state identified on the Name and Address Record is used for this report.
- **ADB Bulk Reinsurance Report** shows the beginning and ending reinsured values for the period selected for all treaties coded as "Bulk."
- **Pending Reinsurance Report** lists Pending/Ready for Issue policies that are reinsured. The report does not include Pending/Incomplete policies.
- **Recoverables Report** lists the recoverable reinsurance items and the amount recovered. (Recoverables refer to the recovery of the reinsured amount if a claim has been processed. For example, if a \$100,000 face amount policy has \$25,000 reinsured; \$25,000 is the recoverable amount when the death claim is processed.)
- **Reinsurance Audit Report** looks at all benefits for the insured selected and lists the reinsurance information such as the retention limit and the net amount at risk.
- **Quota Share Processing** is used to transfer retention to a specific reinsurer. The Quota Share Report displays the policy and benefit information pertaining to the death benefit, the net amount at risk, the retention amount, the percent retention amount transferred to a reinsurer, and the reinsurance amount added.
- **Schedule S Recoverables** is required for annual statement purposes. It shows the total recoverables compared to the amount received.
- **Schedule S Ceded** shows total reserve credit for reinsurance in force.

SECTION 2 REINSURANCE SYSTEM SETUP

Chapter 1	Reinsurance File and Segment Relationships	2-5
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Chapter 2	Reinsurance System Menu	2-7
2.1	Reinsurance Setup Menu	2-8
2.2	Retention Limits File	2-9
	Reinsurance Calculate Policy Benefit or Life Example	2-13
	Reinsurance Use Cumulative Retention or Find Example	2-14
	Retention Limits File—Start and Stop Date Example	2-15
	Retention Limits File—Maximum Issue Age Example	2-17
2.3	Treaty Selection File	2-19
	Treaty Selection File Record—Add	2-20
	Treaty Selection File—Single Reinsurer	2-22
	Treaty Selection File—Multiple Reinsurer	2-24
	Treaty Selection File—Selection Code Example	2-25
	Treaty Selection File—Multiple Reinsurer Example	2-26
	Multiple Reinsurer—Excess Field	2-27
2.4	Treaty File	2-29
	Treaty File Record—Add	2-30
	Coinurance Selection Window	2-38
	Binding Limits Table	2-40
	Conversion Rate ID Field	2-42
	Substandard Reinsurance Premium	2-43
2.5	Reinsurance—Cloning a Treaty	2-44
2.6	Reinsurance—Updating a Treaty	2-45
2.7	Reinsurance Trace Routine	2-47
2.8	Reinsurance Setup Coverage Segments	2-49

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Section 2 Reinsurance System Setup

The Reinsurance System setup is divided into two areas.

Reinsurance Subsystem Files and Segments provide details of the reinsurance files and segments that can be set up independently of the coverage related files and segments.

Product Coverage Record Files and Segments define reinsurance files and segments on the coverage level and provide the link between the coverage and reinsurance.

The following list is a brief outline of the steps necessary to set up reinsurance. These steps are recommended when first establishing reinsurance records. Note that steps 1, 3, and 4 can be set up prior to the other steps.

1. Set up Retention Limits File

The Retention Limits File is used to define the portion of a new issue that is reinsured. A separate Retention Limits Record can be set up for each coverage, including the base coverage, rider coverage, or benefit coverage records.

For rider or benefit coverages, the Treaty Selection ID or Retention Limits ID can be set up as **BASE**. If you select **BASE**, the rider or benefit defaults to the same setup as the base coverage.

For a particular coverage, retention limits can be set to vary by date or issue age. To achieve this, multiple records are added using the same ID for each record, but the date or issue age range is varied.

2. Set up Treaty Selection File

The Treaty Selection File is the link between a Coverage Record and the Treaty File. The Treaty Selection File designates which reinsurance treaty or treaties are assigned to the reinsured amount. The Treaty Selection File can point to one reinsurer or multiple reinsurers. For a particular coverage, the Treaty Selection File can be set to vary by date, or policy size, or issue age. To achieve this, multiple records are added using the same ID for each record, but the date or policy size range, or issue age are varied.

3. Set up Treaty File

The Treaty File is used to define reinsurance premium and expense information. A Reinsurance Premium ID and a Substandard Reinsurance Premium ID can be designated, if applicable. (If a Reinsurance Premium ID is not selected, the system uses the premium rates from the designated coverage for the reinsurance premium and the rating percentage from the Rated Cases Table ID defined in New Business based on the Rating Table ID selected on the Component File for the substandard portion of the reinsurance premium. It is important to note that the ratings by table defined on the Coverage Record are not supported in Reinsurance.)

If specific premium rates are designated, premium segments must be set to coincide with the Premium Rate IDs. These rate segments are established through the Product System. It is also important to note that the PR—Premium Segment is used for reinsurance premium rates for traditional products. U6—Current COI Rates are used for universal life products if no specific Reinsurance Premium ID is selected on the Treaty File.

The offsetting Expense IDs are also set up on the Treaty File (see step 4).

4. Add segments for Premium and Expense IDs designated on the Treaty File

A new segment record must be set up for each specific Expense ID indicated in the Treaty File. The segment or segments added are PR—Premium Segments. Input the rates or expenses using this Segment ID.

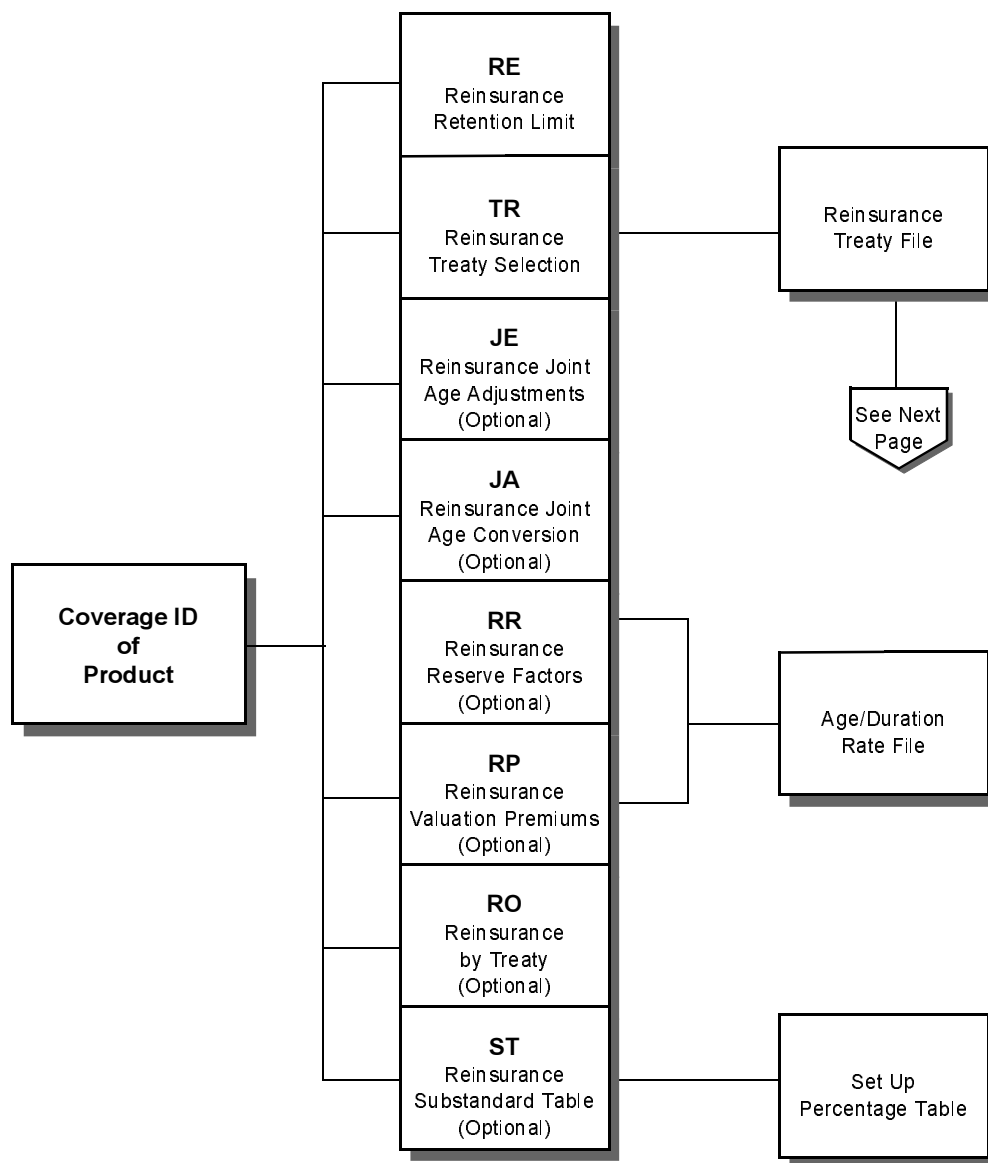
5. Designate Reinsurance Files on Coverage Segments

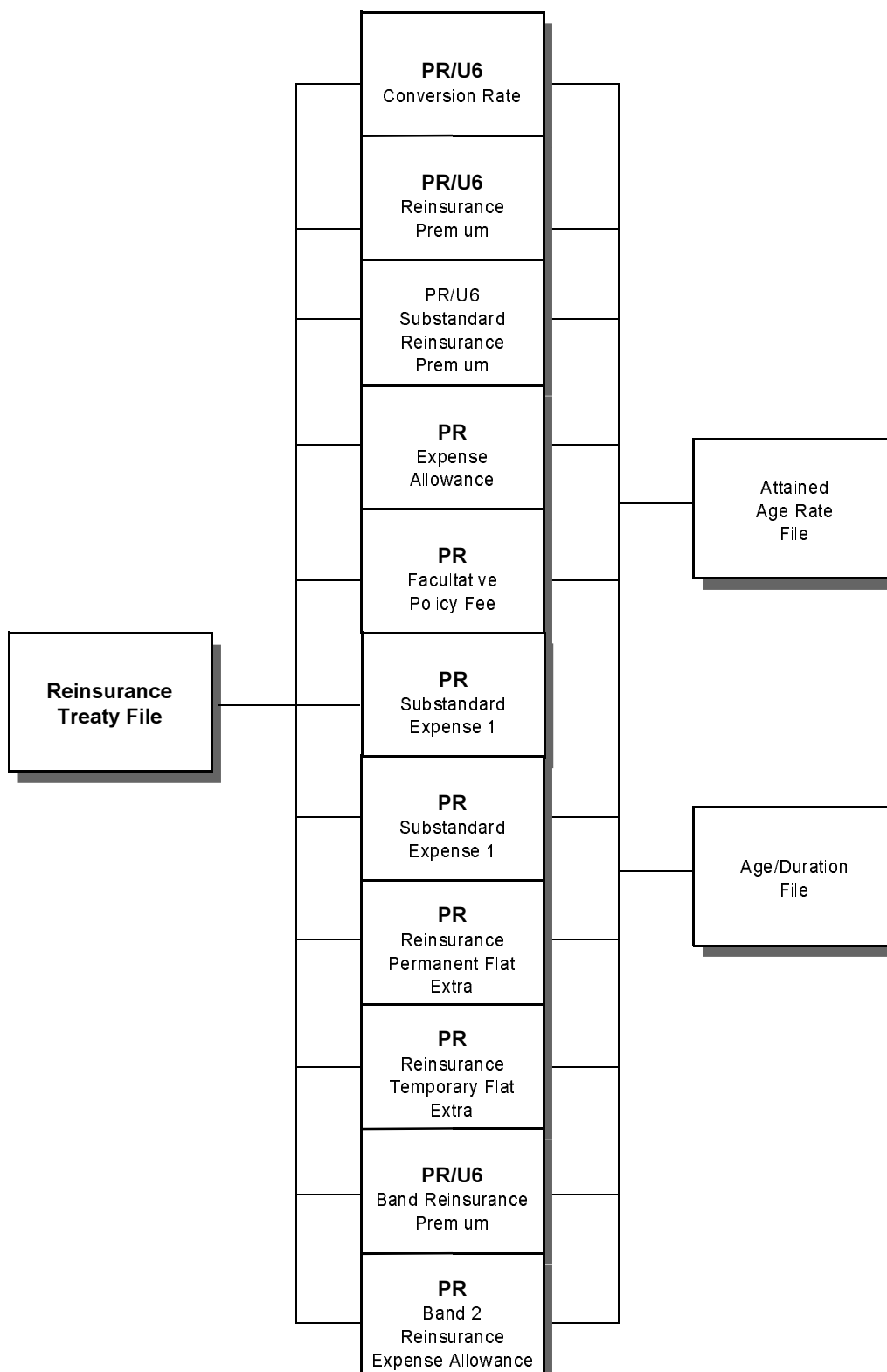
The Retention Limits File and Treaty Selection File are designated for each coverage via the Segment screen. Note that clicking **Select** after declaring these segments allows access to the corresponding screens in the Reinsurance System.

In addition to these two files being connected to the Coverage Record, the following reinsurance segments are connected directly to the Coverage Record but are optional.

- Reinsurance Joint Age Adjustment
- Reinsurance Joint age Conversion
- Reinsurance Reserve Factors
- Reinsurance Valuation Premiums
- Reinsurance Reserves Treaty Factors
- Reinsurance Substandard Table

Chapter 1 Reinsurance File and Segment Relationships





The above segments are segment type PR—traditional or U6—universal life. If only PR is shown, this segment type applies to both traditional and universal life.

Chapter 2 Reinsurance System Menu

The Reinsurance System Menu allows access to Reinsurance Setup and Reinsurance Activity. Reinsurance Setup allows access to the reinsurance screens and Reinsurance Activity allows access to the reinsurance detail records.



Complete the following steps to access the Reinsurance System Menu.

1. From the LifePRO® Main Menu select **Reinsurance System**. The Reinsurance System Menu is displayed.
2. Two options are available.
 - **Reinsurance Setup**—This option accesses the reinsurance setup screens, including the Retention Limits File, Treaty Selection File, and Treaty File. The Reinsurance Trace Routine is also located on the Reinsurance Setup Menu.
 - **Reinsurance Activity**—This option accesses the Reinsurance Detail Records, Reinsurance Adjustment Records, and Reinsurance Recoverables.

2.1 Reinsurance Setup Menu

The Reinsurance Setup Menu is used to set up reinsurance files including the Retention Limits File, Treaty Selection File, and Treaty File. A Trace Routine option is available to test the reinsurance setup before the process is run in production.



Complete the following steps to access the Reinsurance Setup Menu.

1. From the Reinsurance Menu select **Reinsurance Setup**. The Reinsurance Setup Menu is displayed.
2. Four options are available.
 - The **Retention Limits File** is used to designate the amount of insurance to retain for a specific benefit.
 - The **Treaty Selection File** is the link between a Product System Coverage Record and the Reinsurance Treaty File, where reinsurance rules are set up for each reinsurer.
 - The **Treaty File** defines the rules for the amount of premium paid to the reinsurer, the type of treaty, and the expenses that are deducted from the reinsurance premiums.
 - The **Trace Routine** is a tool for testing reinsurance setup.

2.2 Retention Limits File

The Retention Limits File is used to designate the amount of insurance to retain for a specific benefit. Retention limits can be varied by policy substandard table rating, policy issue date, or issue age of the insured. Retention limits can be applied on a per policy or per life basis.

Enter Retention Limits			
Company Code	[01]	Retention Limits ID	[LIFE]
		Group Reinsurance by Census?	[No]
Start Date for This Retention Record	[01/01/1990]	Tbl Rating	Retention Limit
Stop Date for This Retention Record	[12/31/2099]	00	\$50,000
Max Issue Age for This Retention Record	[999]	01	\$50,000
Traditional NAR Calculation Option	[Net Amount At Risk]	02	\$50,000
Calculate Retention Per Policy	[Life Basis]	03	\$50,000
If Per Life Use Either Cumulative	[Retention Of Inforce Benefits]	04	\$50,000
		05	\$50,000
		06	\$50,000
Reinsurance Premium Calculation Option	[Current Base Unit]	07	\$50,000
Calc Retention Per Insured on Joint Policies	[No]	08	\$50,000
		09	\$50,000
		10	\$50,000
		11	\$50,000
		12	\$50,000
		13	\$50,000
		14	\$50,000
		15	\$50,000
		16	\$50,000
Benefits to Use in Per Life Inforce Calculations			
Trad Base (BA)	[Yes]	Insrd Term Rdr (LT)	[]
UL Base (BF)	[Yes]	PD Up Term Rdr (PT)	[]
UL Increase (SP)	[Yes]	Guar Ins Rdr (GI)	[]
Waiver of Prem (WP)	[]	Disability Inc (DI)	[]
Accidental Dth (AD)	[Yes]	Other Combined (OC)	[]
Basic Othr Rdr (OR)	[Yes]		
Family Rdr (FR)	[]		
Child Rdr (CR)	[]		
			[Add]
			[Next]
			[Previous]
			[OK]
			[Cancel]

Each reinsured coverage must have a Retention Limits File designated. The Coverage File and Retention Limits File are linked via the Retention Limits ID. The Retention Limits ID is the Segment ID for the RE—Retention Limits Segment.

Complete the following steps to access the Retention Limits File.

1. From the Reinsurance Setup Menu select **Retention Limits File**. The first Retention Limit File record is displayed.
2. Press **F10** to update an existing record or click **Add** to add a new Retention Limit File.
3. Input the information for the record and click **OK** to save the record or click **Cancel** to end without saving.

The following table contains field definitions for the Retention Limits File.

Field	Description
Company Code	The company code to which this Retention Limits Record applies is displayed. The Retention Limits File must be set up for each company.
Retention Limits ID	This field links the Retention Limits record to the Product System Coverage Record. Each coverage to which this Retention File applies has a Retention Limits Segment ID that matches this ID.
Start Date for This Retention Record	A Retention Limits File Record is effective for a designated date range. This allows the Retention Limit for a particular ID to be changed as of a certain effective date. This field represents the first date that this Retention Limit ID is effective. If the Retention Limits File rules need to be changed for this Retention Limits ID as of a specific date, a new record would be added with the same Retention Limits ID, but a new start and stop date range.
Stop Date for This Retention Record	A Retention Limits File Record is effective for a designated date range. This allows the retention limit for a particular ID to be changed as of a certain effective date. This field represents the last date that this Retention Limit ID is effective. If the Retention Limits File rules need to be changed for this Retention Limits ID as of a specific date, a new record would be added with the same Retention Limits ID, but a new start and stop date range.
Max Issue Age for This Retention Record	This field is used to designate any variations in retention limits by issue age. In this field, input the maximum age for this record. For example, assume there are two sets of rules for selecting retention limits, one based on insureds through age 50, and one for insureds over 50. Two records would be set up with the same Retention Limits ID. One would list 50 in this field, the other would list 999, or whatever the maximum age is for the coverage. If the Retention Limits ID does not vary depending on the issue age of the insured, and if there is not an issue age cut off for the Product's Retention Limits, input all 9s in this field.

Field	Description
Traditional NAR Calculation Option	This field invokes the use of reserves in computing a net amount at risk (NAR) for traditional benefits. “ ”—Net Amount At Risk This option assumes that the net amount at risk equals the face amount. R—Net Amount At Risk Less Terminal Reserve A traditional net amount at risk is calculated as the face amount less terminal reserves. The calculated net amount at risk is then used in the reinsured amount calculation. If terminal reserves change, the net amount at risk reflects those changes since it is recalculated at each reinsurance processing. The Traditional NAR field is included on the Reinsurance Detail Record.
Calculate Retention Per Policy	B—Policy Benefit The retention limit is compared to the face amount of each individual policy benefit when calculating the amount reinsured. The total inforce for the insured is not considered in the calculation. L—Life Basis The system uses the Name and Address Record for the insured to calculate the total inforce for the insured. The total face amount of all policy benefits for the insured is applied to the retention limit when determining the reinsurance amount. When making the total inforce calculation, the system only includes benefits with Yes selected in the Benefits to Use in Per Life Inforce Calculations section of this screen.
If Per Life Use Either Cumulative	This field only applies if the retention is being calculated on a life basis. It determines if manual overrides are taken into account when determining the retention. F—Find Retention On Table Any manual overrides are not taken into account when determining retention. With this option, the system compares the retention to the total face amount of all benefits, ignoring any retention overrides. R—Retention Of Inforce Benefits Retention limit overrides are taken into account when determining retention. With this option, the system compares the retention limit to the actual amount retained for each policy.

Field	Description
Reinsurance Premium Calculation Option	This field defines if reinsurance premium calculations are based on the original base unit of a policy or the current base unit of a policy. The premium calculation only applies to reinsurance premiums. This field can be updated on a policy level through the Reinsurance Detail screen. This field is most commonly used for traditional products which have an increasing rider such as an inflation rider, which automatically increases the base units each anniversary on a policy. C—Current Base Unit The reinsurance premium calculation is based on the current base unit of a policy. O—Original Base Unit The reinsurance premium calculation is based on the original base unit of a policy. This option only affects reinsurance premiums, not the reinsured amount. For example, assume a policy was issued with 2 units and an inflation rider. On the first anniversary the inflation rider increases the number of base units by .07. This option calculates the reinsurance premium based on the original 2 units; however, the reinsurance amount is based on 2.07 units.
Calc Retention Per Insured on Joint Policies	This field determines if the system tracks retention for each insured on joint benefits. Y—Yes Retention is tracked for each insured. N—No Retention is tracked on a policy basis.
Benefits to Use in Per Life Inforce Calculations	If retention is calculated on a Life basis, the fields in this section determine which benefits to use in the total inforce calculation. Any benefit type designated as Yes is used in the calculation.
Group Reinsurance by Census	This field is only applicable for True Group processing. Y—Yes Reinsurance occurs per census record by benefit. For example, if one census record contains 3 benefits, retention limits are applied per benefit. N—No Reinsurance occurs per policy by benefit. All census records on the policy are grouped together by benefit, and retention limits are applied per benefit.
Tbl Rating/Retention Limit	This section is used to indicate the actual retention limits. The limit can be varied according to each of the 40 possible table ratings. If a retention limit is repeated for multiple fields, press F10. Position the cursor on the field with the value to be repeated on the rest of the list and press F4 to process. Press Ctrl+PgUp and Ctrl+PgDn to move through additional screens.

Reinsurance Calculate Policy Benefit or Life Example

The following example illustrates how the Policy or Life selection in the Calculate Retention Per Policy field affects the retention. The retention limit and policy face amounts are identical in the following two examples.

Policy Basis

The retention limit is compared to the face amount of each individual policy benefit when calculating the amount reinsured. The total inforce is not considered in the calculation.

Retention Limit = \$75,000

Policy #	Face Amt	Retention	Reinsured
001	\$100,000	\$75,000	\$25,000
002	\$150,000	\$75,000	\$75,000
003	\$75,000	\$75,000	\$0
Total	\$325,000	\$225,000	\$100,000

Life Basis

The system uses the Name and Address Record for the insured to calculate the total inforce for the insured. The total face amount of all policy benefits for the insured is applied to the retention limit when determining the reinsurance amount.

Retention Limit = \$75,000

Policy #	Face Amt	Retention	Reinsured
001	\$100,000	\$75,000	\$25,000
002	\$150,000	\$0	\$150,000
003	\$75,000	\$0	\$75,000
Total	\$325,000	\$75,000	\$250,000

Reinsurance Use Cumulative Retention or Find Example

In the following example, retention is calculated on a life basis. The retention limit is \$300,000. For Policy #002, a manual override was processed, resulting in a retention of \$90,000 rather than \$100,000.

Policy #	Face Amt	Retention	Reinsured
001	\$200,000	\$200,000	\$0
002	\$150,000	\$90,000 (An Override)	\$60,000
003	\$100,000	See Table	See Table

This table describes the effect of selecting **Retention Of Inforce Benefits** (retention limit overrides are taken into account when determining retention) or **Find Retention On Table** (uses retention limits from current table and does not take into account overrides when determining retention) would have on policy #003.

	Retention	Reinsured
Find Retention On Table	\$0	\$100,000
Retention Of Inforce Benefits	\$10,000	\$90,000

In the example, when **Find Retention On Table** was selected, the system took into account the total face amount for all 3 policies, compared it to the table, and determined that the retention limit had already been reached.

When **Retention Of Inforce Benefits** was selected, the system took the override on policy 002 into account, and determined that only \$290,000 had actually been retained. Thus, \$10,000 was retained for policy 003.

Retention Limits File—Start and Stop Date Example

The Start Date and Stop Date fields on a Retention Limits File can be used to add a new record when information changes for a particular Retention Limits ID. A new record is added using the same Retention Limits ID, but with new start and stop dates.

Enter Retention Limits			
Company Code	01	Retention Limits ID	GLIFE
		Group Reinsurance by Census?	No
Start Date for This Retention Record	01/01/1989	Tbl Rating	Retention Limit
Stop Date for This Retention Record	12/31/1989	00	\$50,000
Max Issue Age for This Retention Record	999	01	\$50,000
Traditional NAR Calculation Option	Net Amount At Risk	02	\$50,000
Calculate Retention Per Policy	Life Basis	03	\$50,000
If Per Life Use Either Cumulative	Find Retention On Table	04	\$50,000
		05	\$50,000
		06	\$50,000
Reinsurance Premium Calculation Option	Current Base Unit	07	\$50,000
Calc Retention Per Insured on Joint Policies	No	08	\$50,000
		09	\$50,000
Benefits to Use in Per Life Inforce Calculations		10	\$50,000
Trad Base (BA)	Yes	11	\$50,000
UL Base (BF)	Yes	12	\$50,000
UL Increase (SP)	Yes	13	\$50,000
Waiver of Prem (W/P)		14	\$50,000
Accidental Dth (AD)	Yes	15	\$50,000
Basic Dthr Rdr (OR)	Yes	16	\$50,000
Family Rdr (FR)			
Child Rdr (CR)			
Insrd Term Rdr (LT)			
PD Up Term Rdr (PT)			
Guar Ins Rdr (GI)			
Disability Inc (DI)			
Other Combined (OC)			

Add
Next
Previous
OK
Cancel

The record displayed at the top of the screen was used for policies issued from 1/1/1989 through 12/31/1989.

After 12/31/1989, the record displayed below is used. Note that both records must have the same Retention Limits ID. The date fields are inclusive. Thus, a policy issued on 12/31/1989 would use the record displayed on the previous page.

Enter Retention Limits			
Company Code	01	Retention Limits ID	GLIFE
		Group Reinsurance by Census?	No
Start Date for This Retention Record	01/01/1990	Tbl Rating	Retention Limit
Stop Date for This Retention Record	12/31/2099	00	\$50,000
Max Issue Age for This Retention Record	999	01	\$50,000
Traditional NAR Calculation Option	Net Amount At Risk	02	\$50,000
Calculate Retention Per Policy	Life Basis	03	\$50,000
If Per Life Use Either Cumulative	Retention Of Inforce Benefits	04	\$50,000
		05	\$50,000
		06	\$50,000
Reinsurance Premium Calculation Option	Original Base Unit	07	\$50,000
Calc Retention Per Insured on Joint Policies	No	08	\$50,000
		09	\$50,000
Benefits to Use in Per Life Inforce Calculations		10	\$50,000
Trad Base (BA)	Yes	11	\$50,000
UL Base (BF)	Yes	12	\$50,000
UL Increase (SP)	Yes	13	\$50,000
Waiver of Prem (WP)		14	\$50,000
Accidental Dth (AD)	Yes	15	\$50,000
Basic Dthr Rdr (OR)	Yes	16	\$50,000
Family Rdr (FR)			
Child Rdr (CR)			

Retention Limits File—Maximum Issue Age Example

The Max Issue Age for This Retention Record field on a Retention Limits record can be used to vary the retention limit according to the age of the insured at issue. A new record is added using the same Retention Limits ID with a new maximum issue age.

Enter Retention Limits			
Company Code	01	Retention Limits ID	GLIFE
		Group Reinsurance by Census?	No
Start Date for This Retention Record	01/01/1990	Tbl Rating	Retention Limit
Stop Date for This Retention Record	12/31/2099	00	\$25,000
Max Issue Age for This Retention Record	50	01	\$25,000
Traditional NAR Calculation Option	Net Amount At Risk	02	\$25,000
Calculate Retention Per Policy	Life Basis	03	\$25,000
If Per Life Use Either Cumulative	Retention Of Inforce Benefits	04	\$25,000
		05	\$25,000
		06	\$25,000
Reinsurance Premium Calculation Option	Current Base Unit	07	\$25,000
Calc Retention Per Insured on Joint Policies	No	08	\$25,000
		09	\$25,000
Benefits to Use in Per Life Inforce Calculations		10	\$25,000
Trad Base (BA)	Yes	11	\$25,000
UL Base (BF)	Yes	12	\$25,000
UL Increase (SP)	Yes	13	\$25,000
Waiver of Prem (WP)	Yes	14	\$25,000
Accidental Dth (AD)	No	15	\$25,000
Basic Dthr Rdr (OR)	No	16	\$25,000
Family Rdr (FR)			
Child Rdr (CR)			

The record displayed above is used if the insured has an issue age of 50 or less.

If the issue age of the insured is greater than 50, the record displayed below is used. Note that both records must have the same Retention Limits ID. The Max Issue Age for This Retention Record field is inclusive. If the insured is 50 at the time the policy is issued, the record displayed on the previous page is used.

Enter Retention Limits			
Company Code	01	Retention Limits ID	GLIFE
		Group Reinsurance by Census?	No
Start Date for This Retention Record	01/01/1990	Tbl Rating	Retention Limit
Stop Date for This Retention Record	12/31/2099	00	\$25,000
Max Issue Age for This Retention Record	999	01	\$25,000
Traditional NAR Calculation Option	Net Amount At Risk	02	\$25,000
Calculate Retention Per Policy	Life Basis	03	\$25,000
If Per Life Use Either Cumulative	Retention Of Inforce Benefits	04	\$25,000
		05	\$25,000
		06	\$25,000
Reinsurance Premium Calculation Option	Current Base Unit	07	\$25,000
Calc Retention Per Insured on Joint Policies	No	08	\$25,000
		09	\$25,000
Benefits to Use in Per Life Inforce Calculations		10	\$25,000
Trad Base (BA)	Yes	11	\$25,000
UL Base (BF)	Yes	12	\$25,000
UL Increase (SP)	Yes	13	\$25,000
Waiver of Prem (WP)	Yes	14	\$25,000
Accidental Dth (AD)	No	15	\$25,000
Basic Dthr Rdr (OR)	No	16	\$25,000
Family Rdr (FR)			
Child Rdr (CR)			

2.3 Treaty Selection File

The Treaty Selection File is the link between a Product System Coverage Record and the Reinsurance Treaty File, where reinsurance rules are set up for each reinsurer. It indicates the treaty or treaties that are used for reinsurance. The Treaty Selection File can be set up to point to the treaty record of a single reinsurer or to multiple treaty records in cases where reinsurance is divided among more than one reinsurer.

Treaty Selection File			
Company Code	01		
Treaty Select ID	MULTIPLE M	Stop Date	01/01/2099 Maximum Policy Size 1,000,000
Single Or Multiple	Multiple	Start Date	01/01/1980 Minimum Policy Size 5,000
Maintain Constant Percent	No	Max Issue Age	100 Min Issue Age 000

Single Reinsurer		Multiple Reinsurers	
Selection Code			
Key	Treaty Code	Treaty Code	Percent Applied To Treaty
		TREATY4	60.0000%
		TREATY5	40.0000%
Total			100.0000%
Excess	TREATY6		

A Treaty Selection File and a Coverage Record are linked via the Treaty Selection ID. On the Coverage Record, this designation is made via the Segment List, under the TR—Treaty Selection Segment. The ID designated for the Treaty Selection Segment must match the ID of a Treaty Selection Record.

Treaty Selection File Record—Add

1. From the Reinsurance System Menu select **Reinsurance Setup**. The Reinsurance Setup Menu is displayed.
2. Select **Treaty Selection File**. The Treaty Selection File is displayed.
3. Press **F8**.
4. Add the information for the record.
5. Click **OK** to save the record, or click **Cancel** to end without saving.

The following table contains field definitions for the Treaty Selection File.

Field	Description
Company Code	The company code to which this record applies is displayed. The Treaty Selection File must be set up for each company.
Treaty Select ID	The Treaty Selection ID must match the Treaty Selection Segment ID which is designated on the Coverage Record via the TR—Treaty Selection Segment.
Single Or Multiple	S—Single Each reinsured benefit is reinsured by a single treaty. Note that the Selection Code field allows different reinsurers to be used for different groups of policies. M—Multiple The reinsured benefit is reinsured by multiple treaties, divided in a designated percentage allocation.
Maintain Constant Percent	When the net amount at risk is used to compute the reinsured amount, such as with universal life coverages, this field controls the effect of changes in the net amount at risk. Y—Yes A constant percentage allocation is maintained for the amount reinsured and the amount retained. The same percentage allocation at issue remains as the net amount at risk changes. Both the retained and the reinsured amounts change as the net amount at risk changes. N—No A constant percent is not maintained. The reinsured amount is adjusted as the net amount at risk changes. The retained amount does not change as the net amount at risk changes.

Field	Description
Stop Date/Start Date	The benefit issue date is compared to these fields to determine the correct Treaty Selection File. If the Treaty Selection File information changes, a new record can be added using the new start and stop date range, and the same Treaty Selection ID . Note that the dates are inclusive; thus the dates cannot overlap. A new record must have a start date one day after the previous record's stop date.
Max Issue Age	This field is used to designate a maximum issue age to which this record applies. If this field is not applicable, input all 9s.
Maximum Policy Size	Treaty selection can be varied based on ranges of policy sizes. This field is used to designate a maximum policy size to which this record applies. Multiple records can be set up for the same Treaty Selection ID with different Minimum and Maximum Policy Size field values. Note that the ranges of values cannot overlap. For example, assume all policies with a face amount under \$100,000 are assigned to a different treaty than policies greater than \$100,000. A record would be set up with a Policy Size of \$0—\$100,000. An additional record would be added with a Policy Size of \$100,001—\$999,999,999. The Treaty Selection ID would be the same for both of these records. If this field is not applicable, input all 9s.
Minimum Policy Size	Treaty selection can be varied based on ranges of policy sizes. This field is used to designate a minimum policy size to which this record applies. Multiple records can be set up for the same Treaty Selection ID with different Minimum and Maximum Policy Size field values. For example, assume all policies with a face amount under \$100,000 are assigned to a different treaty than policies greater than \$100,000. A record would be set up with a Policy Size of \$0—\$100,000. An additional record would be added with a Policy Size of \$100,001—\$999,999,999. The Treaty Selection ID must be the same for both of these records. If this field is not applicable, input 0.
Min Issue Age	This field is used to designate a minimum issue age to which this record applies. If this field is not applicable, input all 0s. Note that the Min and Max Issue Age fields can be used to vary the treaty selection according to the issue age of the insured. A different record can be added for a particular Treaty Selection ID using different Min and Max Issue Age ranges. These ranges cannot overlap.

Treaty Selection File—Single Reinsurer

This section of the screen is completed if a single reinsurer reinsures the entire reinsured amount. The following table contains field definitions for the Single Reinsurer fields.

Field	Description
Selection Code	This field defines how policies are assigned to a treaty. For example, policies might be assigned to different treaties based on the last name of the insured. The Select Code field determines what type of entry is made in the Key field. N—Insured’s Last Name Group P—Policy Number Group S—Issue State Group U—Underwriting Group X—All Policies in Group
Key	The information input in this field is dependent on the value selected in the Selection Code field. For example, if Underwriting Group is selected in the Selection Code field, the applicable underwriting class is input in this field. All policies issued with this underwriting class are reinsured under the same treaty.
Treaty Code	This field designates the name of the treaty to which the policies are assigned. There must be a Treaty Code that corresponds to each Key field.

The values input in the Key and Treaty Code fields are dependent on the value input in the Selection Code field. The following table contains descriptions of the information that should be input in these fields depending on the value input in the Selection Code field.

Selection Code	Key Field	Treaty Code
N—Insured's Last Name Group	Enter the first letter of the last name. This is an ending range. For example, if the reinsurer reinsures all insureds with last names that begin with A through D, enter D in this field.	One treaty for each key.
P—Policy Number Group	Enter the first five characters of the policy numbers that will be reinsured. This is an ending range. For example, if policies 11111—33333 are included in this treaty, 33333 is input in this field.	One treaty for each key.
S—Issue State Group	Enter a two digit state abbreviation. All policies issued in this state are covered by the treaty selected.	One treaty for each key.
U—Underwriting Group	Enter an underwriting class. All policies issued with this underwriting class are reinsured under this treaty.	One treaty for each class.
X—All policies in Group	None	One treaty assigned.

Treaty Selection File—Multiple Reinsurer

If the reinsurance for a benefit is coded for multiple reinsurers, complete the Multiple Reinsurer section of the Treaty Selection File screen. The following fields are entered if more than one reinsurer is used for a benefit.

Field	Description
Treaty Code	Designate a treaty code for each reinsurer in this field.
Percent Applied To Treaty	Input the percentage to apply to each treaty entered. The total for all treaties must equal 100%.
Total	This field indicates the total of the percentages designated to each treaty. The total for all treaties must equal 100%.
Excess	The Excess Treaty field is coded in case the portion ceded to a specific treaty falls below that treaty's Minimum Session Limit. The amount that cannot be reinsured is allocated to the Excess Treaty.

Treaty Selection File—Selection Code Example

The screen displayed below is an example of how the Selection Code and Key fields can be used to assign groups of policies to different treaties. Note that these fields only apply when a Single Reinsurer is selected.

Treaty Selection File																																																			
Company Code	01		Treaty Select ID	SLIFE		Stop Date	01/01/2099																																												
Single Or Multiple	Single		Start Date	01/01/1980		Maximum Policy Size	500,000																																												
Maintain Constant Percent	No		Max Issue Age	100		Minimum Policy Size	5,000																																												
			Min Issue Age	000																																															
Single Reinsurer Selection Code Insured's Last Name Group <table border="1"> <thead> <tr> <th>Key</th> <th>Treaty Code</th> </tr> </thead> <tbody> <tr> <td>M</td> <td>TREATY4</td> </tr> <tr> <td>Z</td> <td>TREATY8</td> </tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> </tbody> </table> Multiple Reinsurers <table border="1"> <thead> <tr> <th>Treaty Code</th> <th>Percent Applied To Treaty</th> </tr> </thead> <tbody> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> <tr><td> </td><td> </td></tr> </tbody> </table> Total Excess Next Previous OK Cancel								Key	Treaty Code	M	TREATY4	Z	TREATY8																	Treaty Code	Percent Applied To Treaty																				
Key	Treaty Code																																																		
M	TREATY4																																																		
Z	TREATY8																																																		
Treaty Code	Percent Applied To Treaty																																																		

In the example displayed above, the Selection Code is Insured's Last Name Group. The Key field is then used to designate a range based on the first letter of the insured's last name. Thus, in the example above, if the insured's last name begins with any letter from A through M, Treaty 4 is used. If the insured's last name begins with any letter from N through Z, Treaty 8 is used.

The Selection Code field is based on the Insured's Last Name Group, Policy Number Group, Issue State Group, or Underwriting Group. If the Selection Code field is All Policies In Group, only one treaty can be selected.

Treaty Selection File—Multiple Reinsurer Example

The Treaty Selection file displayed below designates multiple reinsurers. The reinsurance is divided among the reinsurers listed according to the percentages designated in the Multiple Reinsurers section of the screen.

Treaty Selection File			
Company Code	01	Stop Date	01/01/2099
Treaty Select ID	MULTIPLE M	Start Date	01/01/1980
Single Or Multiple	Multiple Single	Maximum Policy Size	1,000,000
Maintain Constant Percent	No <input checked="" type="button" value="Yes"/>	Minimum Policy Size	5,000
		Max Issue Age	100
		Min Issue Age	000

Single Reinsurer	
Selection Code	
Key	Treaty Code

Multiple Reinsurers	
	Percent Applied To Treaty
Treaty Code	
TREATY4	40.0000%
TREATY5	50.0000%
TREATY6	10.0000%
Total	100.0000%
Excess	TREATY8

As an example, assume a policy has a face amount of \$100,000 and a retention limit of \$40,000. The resulting amount reinsured is \$60,000. The Coverage Record points to the Treaty Selection File displayed above.

For the policy described, the reinsured amount is allocated as described below.

- Treaty 4—40% \$24,000
 - Treaty 5—50% \$30,000
 - Treaty 6—10% \$ 6,000
- \$60,000 (Total reinsured must equal \$60,000)

Multiple Reinsurer—Excess Field

The Excess field for Multiple Reinsurers designates the Excess Treaty. Any reinsured amount that cannot be covered by the treaties listed on the main screen is reinsured by the Excess Treaty. The Excess Treaty can be one of the treaties listed in the Treaty Code column or a different treaty.

The following example describes how the Excess field is used when a treaty has a Minimum Policy Size designated.

Treaty Selection File			
Company Code	01		
Treaty Select ID	MULTIPLE M	Stop Date	01/01/2099
Single Or Multiple	Multiple ▾	Start Date	01/01/1980
Maintain Constant Percent	No ▾	Max Issue Age	100
		Minimum Policy Size	1,000,000
		Min Issue Age	5,000
			000

Single Reinsurer		Multiple Reinsurers	
Selection Code			
Key	Treaty Code	Treaty Code	Percent Applied To Treaty
		TREATY4	40.0000%
		TREATY5	50.0000%
		TREATY6	10.0000%
		Total	100.0000%
		Excess	TREATY8

Using the Treaty Selection File displayed above, assume that a policy has \$30,000 reinsured.

The allocation of the treaties is described below.

- Treaty 4—40% \$12,000
- Treaty 5—50% \$15,000
- Treaty 6—10% \$ 3,000

Treaty 6, however, has a Minimum Policy Size of \$5,000. Since the reinsured amount is less than \$5,000, the \$3,000 cannot be reinsured under this treaty. The \$3,000 is reinsured by the excess treaty, Treaty 8. The result is shown below.

- Treaty 4—40% \$12,000
- Treaty 5—50% \$15,000
- Treaty 8—10% \$ 3,000

2.4 Treaty File

Each Treaty File Record represents a reinsurer. It defines the rules for the premium to be paid to the reinsurer, the type of treaty, and the expenses that are deducted from the reinsurance premium. The treaty assigned to a benefit is determined by the Treaty Selection File set up for the coverage.

Enter Treaty File Information			
Company Code	01	Treaty Code	TREATY1 >>
Effective Start Date	01/01/1980	Stop Date	12/31/2099
Name Of Reinsurer	TREATY1		
Treaty Type	Automatic	Coverage Mode	Policy Anniversary
Reinsurance Code	Yearly Renewable Term	Policy Fee In Prem	No
Prem Pymt Type	Advance Payment	Binding Limit	Multiplier 500.00%
Rein Premium ID		Min Cession Limit	\$5,000
Premium Mode/Usage	/ Per 1000	Conversion Rate ID	
Recapture Dur Type	Not Defined	Substd Rein Premium ID	
Recapture Duration		Replace Rated Premium	
Waiver/Type	Yes / Premium	GI Retention same as Base	No
Expense Allowances			
Expense Allowance ID	EXPENSE1	Substandard Expense ID2	
Facultative Pol Fee ID		Permanent Flat Xtra ID	PERM1
Substandard Expense ID1	SUBSTD1	Temporary Flat Xtra ID	TEMP1
Min Rating Pct For Exp	225.00%	Temporary Duration	05
Banding Information			
Band 2 Indicator	No	Band 2 Rein Prem ID	
Band Limit		Band 2 Exp Allow ID	
Constant Overrides Information			
Constant Rein Amt	No	Constant Reinsured %	No
			Coinsurance Next Previous OK Cancel

As a default, the system uses the policy premium rates (taking into consideration the percentage of the benefit reinsured) as the reinsurance premium. The Treaty File allows the designation of substitute Premium and Expense Allowance IDs so that unique reinsurance rates can be coded.

Premium and Expense IDs act as pointers to segments. A segment and corresponding rates must be set up for each Premium and Expense ID defined on the Treaty File. The segments can be accessed from the Product System by selecting **Segments**. The following segments are used for premium and expense allowances.

- **PR Segment**—This segment is used for premiums and expense allowances for traditional coverages.
- **U6 Segment**—This segment is used for premiums for universal life coverages.

Treaty File Record—Add

Complete the following steps to add a Treaty File Record.

1. From the Reinsurance System Menu select **Reinsurance Setup**. The Reinsurance Setup Menu is displayed.
2. Select **Treaty File**. The Treaty File is displayed.
3. Press **F8**.
4. Add the information for the record.
5. Click **OK** to save the record. The Name and Address Selection window is displayed.
6. Add the reinsurer using the Name and Address Add process. Upon adding the reinsurer, the Treaty File Record is saved.

The following table contains field definitions for the Treaty File.

Field	Description
Company Code	The company code to which the treaty applies is displayed.
Treaty Code	This field contains the name of the treaty. The name of the treaty must match its corresponding Treaty Code listed on the Treaty Selection File.
Effective Start Date and Stop Date	These fields contain the starting and ending dates when this treaty is effective. If the Treaty File information changes, a new record can be added using a new start date and stop date. Note that the dates are inclusive, thus the dates for multiple records cannot overlap. A new record must have a start date one day after the previous record's stop date. As long as any policy must use this treaty, the stop date must be in the future.
Name Of Reinsurer	This field contains the name of the reinsurer. This field cannot be accessed directly. It must be input through the Name and Address System. After adding a new Treaty File Record, click OK to save the record. The Name and Address Selection window is displayed to add the Name and Address Record.

Field	Description
Treaty Type	A—Automatic This option indicates that reinsured amounts do not need to be approved by the reinsurer. However, a facultative limit, where approval is necessary, is set via the Binding Limit field. If a policy on an automatic treaty is facultative because of the binding limit, the Reinsur Notified field on the Underwriting Requirements window in Validation must be set to Yes before the system allows issue. B—Bulk The ADB Bulk Reinsurance Report shows the beginning and ending reinsured values for the period selected, as well as the mean values. No accounting is generated for bulk treaties. F—Facultative This option indicates that reinsured amounts always need approval by the reinsurer. If a treaty is facultative, the Reinsur Notified field on the Underwriting Requirements window in Validation must be set to Yes before the system allows issue. G—Group Bulk This option is for true group reinsurance when group census records provide for a split of the retention amount. Only treaties designated as Group Bulk are included with the Reinsurance Group Bulk report is processed.
Reinsurance Code	Y—Yearly Renewable Term C—Coinsurance Coinsurance treaties are used when, in addition to premium, the coinsured amounts for loans, surrenders, and dividends are reported and recovered by Reinsurance Processing. From a coinsurance treaty, click Coinsurance to display a Selection window which allows the selection of which items to report and recover. The options are Loan, Surrender (applies to Full, Partial, and Dividend Accounting), and Dividend Accounting. If Yes is selected for an option, this item is reported and recovered. The Constant Reinsured % field must be set to Yes for coinsurance treaties. The coinsurance percentage is maintained as a constant percentage. For example, on a universal life policy, as the net amount at risk decreases, the reinsured amount and retained amount are adjusted so that the percentage reinsured is consistent with the values at issue. The Reinsurance Pre-Processing Trial Report and Monthly Reinsurance Report each contain separate reports for coinsurance treaties. The reports contain separate columns which show loans, surrenders, or dividends reported to the reinsurer. Monthly reinsurance processing creates adjustment records for any loan, surrender, or dividend that is reported. Note that for surrenders, the cash surrender value, less the surrender charge is reported at the coinsured percentage. Other items such as unapplied cash and annuity rider values that are paid at the time of surrender are not considered.

Field	Description
Reinsurance Code (continued)	Accounting generated by reinsurance processing reports loans, surrenders, and dividends separately. These amounts are cleared through Reinsurance Clearing, 0070, and increase or reduce the amount payable to the reinsurer. Coinsurance Loans Transaction Code 1170 Coinsurance Surrenders Transaction Code 1171 Coinsurance Dividends Transaction Code 1172 Note that if reinsurance processing reports a loan, surrender, or dividend, the Reinsurance Detail screen does not reflect the reported value. This value must be viewed via Treaty Accounting or through reports, such as the Pre-Processing Trial Report or the Monthly Expense Report.
Prem Pymt Type	N—Not Calculated B—Advance Payment The reinsurance premium is paid before the period of reinsurance. A—Payment In Arrears The reinsurance premium is paid after the period of reinsurance.
Rein Premium ID	As a default, the system uses the policy premium rates (taking into consideration the percentage of the benefit reinsured) as the reinsurance premium. If this field is blank, policy premium rates are used as the reinsurance premium. (Rates are taken from the PR Segment for traditional coverages and the U6 Segment for universal life coverages.) If a separate set of premium rates are to be used for reinsurance, input a Segment ID in this field so that unique reinsurance rates can be coded. A Segment ID and corresponding rates must be set up for the ID. The segment used varies depending on the line of business. The segments can be accessed by selecting Segments from the Product System Menu, then selecting Traditional or Universal Life.
Premium Mode	This field only applies if the Rein Prem ID field is coded. The Rein Prem ID field designates whether reinsurance rates are monthly or annual. M—Monthly A—Annually

Field	Description
Usage	This field determines if reinsurance premiums are based on an assumption of \$1000 per unit or the actual unit value for the coverage. If Per 1000 is selected, the calculations use \$1000 per unit, regardless of the actual coverage value per unit. If Unit Based is selected, the calculations use the actual value per unit. P—Per 1000 U—Unit Based
Recapture Dur Type	Recapture refers to the recovery of the reinsured amount from the ceding company at a specific point in time. A—Automatic The Recapture Dur field must be completed. The reinsurance is automatically recaptured on the benefit duration designated in the Recapture Duration field. N—Not Defined Automatic recapture is not applicable.
Recapture Duration	If the Recapture Dur Type is Automatic, the reinsurance is automatically recaptured from the ceding company on the duration designated in this field. Leave this field blank if the Recapture Dur Type field is Not Defined.
Waiver/Type	These two fields are used to designate if waiver is included in the reinsurance calculations. Y—Yes Waiver is included in the reinsurance calculations. A Type must also be indicated in the second part of the field. N—No Waiver is not included in the reinsurance calculations. D—Deduction The calculation is based on the cost deduction for the Waiver benefit. This is defined on the UM—Waiver of Premium Segment of the base universal life coverage. P—Premium The calculation is based on waiver of premium rates.
Coverage Mode	This field is used to designate the frequency of payment of the reinsurance premium. M—Monthly P—Policy Anniversary Annual Y—Calendar Year For Bulk only
Policy Fee In Prem	Y—Yes The policy fee is included in the premium. The policy fee, defined on the Coverage Record, is included in the reinsurance premium. N—No The policy fee is not included in the premium.

Field	Description
Binding Limit	Policies on automatic treaties can be facultative based on the face amount. This field is used to determine the point at which a policy on an automatic treaty becomes facultative. The Maximum Binding Limit value is 9999.99%. M—Multiplier A percentage of the retention limit is used as the facultative limit. A percentage must be indicated in the Multiplier field. The percentage selected in this field is multiplied by the Retention Limit. The resulting value is used to determine the point when a policy should be designated as facultative for automatic treaties. For example, if the Retention Limit equals \$25,000, and the Binding Limit Multiplier is 500%, the result is \$125,000. A policy with an issue amount greater than \$125,000 would be facultative for an automatic treaty. T—Table A table must be coded listing Facultative Limits. When Table is entered in this field, the Binding Limits File screen is displayed. Assign a Binding Limit ID and Maximum Issue Age. Multiple tables can be set up with the same Binding Limit ID for different maximum ages. After coding these values, press F8 to add the record. Input the Binding Limit (this is a dollar amount limit) for each Table Rating (Table Rating “00” is for standard non-rated business). Rates can be duplicated for the rest of the rates listed by clicking Process. After completing the record, click OK to save and click Cancel to return to the Treaty File screen.
Min Cession Limit	This field is the minimum amount to be reinsured for a specific benefit under this treaty. If the calculated reinsured amount is less than this amount, it is not reinsured on this treaty.
Conversion Rate ID	This field only applies to converted policies when the Reinsurance Conversion Method selected on the Reinsurance Management Options screen is 1—Bus Policy. In this field, designate the Conversion Rate ID. A corresponding segment must be set up. The segment is PR Type for traditional, or U6 Type for universal life.
Substd Rein Premium ID	This field, in conjunction with the Replace Rated Premium field, controls how substandard premiums affect the reinsurance premium calculation. If this field is coded, a segment and corresponding substandard rates must be coded (PR for Traditional, U6 for UL). Note that policy substandard rates can either be replaced or increased, based on the value in the Replace Rated Premium field.

Field	Description
Replace Rated Premium	This field is used if a Segment ID is coded in the Substandard Reinsurance Premium field. Y—Yes The normal calculated substandard reinsurance premium is replaced. N—No An additional calculated substandard premium is added to the current substandard premium.
GI Retention same as Base	This field determines if the reinsurance premium rates for the guaranteed insurability rider are the same as the base rates or if the reinsurance premium rates for the guaranteed insurability rider are defined on a separate file. Y—Yes The reinsurance premium rates for the guaranteed insurability rider are the same as the base rates. N—No The guaranteed insurability benefit has its own Coverage Treaty Selection Segment and is not treated like the base. The reinsurance premium rates for the guaranteed insurability rider are unique and are defined from the rate file on the Treaty Record for the guaranteed insurability rider.
Expense Allowances	The Expense Allowances section is used to designate allowances which are applied against the reinsurance premium, then deducted. Expense allowances are optional. A PR—Premium Rate Segment must be set up for each expense allowance designated.
Expense Allowance ID	If an Expense Allowance ID is coded, the corresponding rates are applied against the base reinsurance premium to determine the expense allowance. The expense allowance is deducted from the reinsurance premium payable.
Facultative Pol Fee ID	If there is an extra policy fee for facultative policies, input the Segment ID which points to the rates in this field. The facultative policy fee is used instead of the policy fee defined on the Coverage Record. When a facultative policy fee is defined, it is included, regardless of the option selected in the Policy Fee In Premium field.
Substandard Expense ID1	If there is an expense allowance for substandard policies, input the Segment ID which points to the proper rates in this field. The substandard expense allowance is applied to any substandard premium.
Min Rating Pct For Exp	If there is a substandard percentage on a policy, the system only applies the Substandard Expense Allowance if the substandard percentage is greater than the value coded here. Leave this field blank if the Substandard Expense Allowance applies regardless of the substandard percentage.

Field	Description
Substandard Expense ID2	This field is used in the conjunction with the Substandard Rein Premium ID. If a Substandard Rein Premium ID is coded, this field points to the expense allowance for the substandard portion.
Permanent Flat Xtra ID	If there is an expense allowance for permanent flat extras, input the Segment ID for the expense in this field. The Temporary Duration field is used to define what is considered a permanent flat extra.
Temporary Flat Xtra ID	If there is an expense allowance for temporary flat extras, input the Segment ID for the expense in this field. The Temporary Duration field is used to define what is considered a permanent flat extra.
Temporary Duration	This field is used to define when a rating is considered temporary and when it is considered a permanent flat extra. This field is used to designate the number of durations necessary for a Flat Extra to be considered temporary. Anything less than or equal to the value selected in this field is considered temporary. For example, if 5 is input in this field, any Flat Extra for a Duration of 5 or less is considered temporary. Any duration above the value in this field is considered permanent.
Banding Information	Banding is used to vary the Reinsurance Premium ID and Expense Allowance ID based on the amount reinsured.
Band 2 Indicator	This field is used to determine if commission expense allowances or reinsurance premiums are banded. Y—Yes The Reinsurance Premium ID and Expense Allowance have two bands depending on the amount reinsured. A corresponding Band Limit must be selected. N—No The Reinsurance Premium ID and Expense Allowance are not banded.
Band Limit	If Yes was selected in the Band 2 Indicator field, input the band limit in this field. Any reinsured amount over this limit uses Band 2 Premium and Expense Allowance rules.
Band 2 Rein Prem ID	Input the Reinsurance Premium Segment ID for Band 2, if Yes was selected in the Band 2 Indicator field. Note that if this field is left blank the policy premium rates are used. Traditional policies use PR Segment rates. Universal life policies use U6 Segment rates.
Band 2 Exp Allow ID	Input the Commission Expense Allowance ID for Band 2, if Yes was selected in the Band 2 Indicator field. This is valid for PR Segment types only.

Field	Description
Constant Rein Amt	This field is used to designate a constant dollar amount that is reinsured for the treaty, regardless of the policy's retention limit. Y—Yes Input the dollar amount to be reinsured in the Constant Reinsurance Amount field. The amount selected cannot be less than the amount designated in the Minimum Issue Limit field. N—No This indicates that a constant reinsurance amount is not applicable. If both a constant reinsured amount and percent are present, the system computes each value individually, then adds them together to determine the reinsurance amount.
Constant Reinsured %	This field is used to designate a constant percentage that is reinsured for the treaty, regardless of the policy's retention limit. Y—Yes A constant reinsurance percentage is applicable. N—No A constant reinsurance percentage is not applicable. If both a constant reinsured amount and percent are present, the system computes each value individually, then adds them together to determine the reinsurance amount. If the face or net amount at risk is less than the constant reinsurance amount, the reinsurance amount equals the face or net amount at risk.

Coinsurance Selection Window

The Coinsurance Selection window is used to determine if loans, surrenders, or dividends are reported and recovered by Reinsurance Processing.

The screenshot shows the "Enter Treaty File Information" window. The "Treaty Code" is "TREATY2". The "Effective Start Date" is "01/01/1980" and the "Stop Date" is "12/31/2099". The "Treaty Type" is "Automatic". The "Coverage Mode" is "Monthly". The "Rein Premium ID" is "SUBSTD2" and the "Min Rating Pct For Exp" is "225.00%". The "Banding Information" section shows "Band 2 Indicator" as "No". The "Constant Overrides Information" section shows "Constant Rein Amt" as "No". The "Coinsurance Selection" sub-window is open, showing "Loan" selected with "Yes", "Surrender" with "No", and "Dividend Accounting" with "No". The "OK" button is highlighted.

If the Treaty Type is Coinsurance, click **Coinsurance** from the treaty file to display the Coinsurance Selection window. This window is used to designate if loans, surrenders, or dividends are reported and recovered by Reinsurance Processing.

Coinsurance treaties are used when, in addition to premium, the coinsured amounts for loans, surrenders, and dividends are reported and recovered by Reinsurance Processing.

Click **Coinsurance** to display the Coinsurance Selection window which allows the selection of which items to report and recover. The options are Loan, Surrender (applies to Full and Partial), and Dividend Accounting. If **Yes** is selected for an option, this item is reported and recovered.

Setup Note—The Constant Reinsured % field must be set to **Yes** for coinsurance treaties. The coinsurance percentage is maintained as a constant percentage. For example, as the net amount at risk decreases on a universal life policy, the reinsured amount and retained amount are adjusted so that the percentage reinsured is consistent with the values at issue.

The Reinsurance Pre-Processing Trial Report and Monthly Reinsurance Report each contain separate reports for coinsurance treaties. The reports contain separate columns which show loans, surrenders, or dividends reported to the reinsurer. Monthly reinsurance processing creates adjustment records for any loan, surrender, or dividend that is reported. Note that for surrenders, the cash surrender value, less the surrender charge is reported at the coinsured percentage. Other items such as unapplied cash and annuity rider values that are paid at the time of surrender are not considered.

Accounting generated by reinsurance processing reports loans, surrenders, and dividends separately. (These amounts clear through Reinsurance Clearing, 0070, and increase or reduce the amount payable to the reinsurer.)

Coinsurance Loans	Transaction Code 1170
Coinsurance Surrenders	Transaction Code 1171
Coinsurance Dividends	Transaction Code 1172

Note that if reinsurance processing reports a loan, surrender, or dividend, the Reinsurance Detail screen **does not** reflect the reported value. This value must be viewed via Treaty Accounting, or through reports, such as the Pre-Processing Trial Report or the Monthly Expense Report.

Binding Limits Table

The Binding Limits File includes tables which provide the capability to indicate a specific amount rather than a multiplier when determining the point where a policy should be facultative even when the treaty is automatic. The maximum binding limit value accepted is 999,999,999 and is based on age and table rating for a policy. Only **one** Binding Limit ID is applicable to a treaty, however that Binding Limit ID can have different versions based on different maximum issue ages. In addition, a Binding Limit Table can be used for more than one treaty.

Table Rating	Binding Limit
00	
01	
02	
03	
04	
05	
06	
07	
08	
09	
10	
11	
12	
13	
14	
15	
16	

To access the Binding Limits File screen, the Treaty File screen must be in either add or update mode. Complete the following steps to access the Binding Limits File screen.

1. From the Treaty File screen, press **F10**.
2. Select **Table** in the Binding Limits field. The Binding File screen is displayed.
3. Press **Page Up** or **Page Down** to move through screens.

4. The following functions are available on this screen.

F8	Add
F10	Update
Alt+F8	Delete
Alt+F10	End without saving

5. When in either the add or update mode, click **Process** to roll or replicate the binding limit throughout the rest of the Binding Limit fields.

NOTE: Table Rating 00 is for standard non-rated business.

Conversion Rate ID Field

The following formulas illustrate how the Conversion Rate ID is used when calculating the reinsurance premium for converted policies.

First Year Conversion

$$\text{Rein Premium} = (\text{Original Policy Face Amt—units}) * (\text{Original Iss Age, Dur 2 Rate}) * \\ (\text{Conversion Discount Rate, Dur 1}) + (\text{Remaining Reinsured Amt—units}) * \\ (\text{New Policy Iss Age, Dur 1})$$

Renewal Year Conversion

Example in Policy Duration 2

$$\text{Rein Premium} = (\text{Original Policy Face Amt—units}) * (\text{Original Iss Age, Dur 3 Rate}) * \\ (\text{Conversion Discount Rate, Dur 2}) + (\text{Remaining Reinsured Amt—units}) * \\ (\text{New Policy Iss Age, Dur 1}) * (\text{Conversion Discount Rate, Dur 1})$$

Substandard Reinsurance Premium

The Substandard Reinsurance Premium ID field and Replace Rated Premium field from the Treaty File are used together to determine the calculation of the rated premium for reinsurance purposes.

Several substandard reinsurance premium calculations can be achieved based on how the Substandard Reinsurance Premium ID and the Replace Rated Premium fields are completed.

1. If the Reinsurance Premium ID is blank and if the Substandard Reinsurance Premium ID is blank, then

$$\text{Reinsurance Premium} = \text{Coverage Premium} + \text{Coverage Substandard Premium}$$

2. If the Reinsurance Premium ID is indicated and if the Substandard Reinsurance Premium ID is blank, then

$$\text{Reinsurance Substandard Premium} = \text{Coverage Premium} + \text{Coverage Substandard Premium}$$

3. If the Reinsurance Premium ID is indicated or blank, and if the Substandard Reinsurance Premium ID is indicated and the Replace Rated Premium is Yes, then Reinsurance Premium = Coverage Premium or Reinsurance Premium + Substandard

$$\text{Reinsurance Premium (from the Substandard Reinsurance Premium ID)}$$

4. If the Reinsurance Premium ID is indicated or blank, and if the Substandard Reinsurance Premium ID is indicated and the Replace Rated Premium is No, then

$$\text{Reinsurance Premium} = \text{Coverage Premium or Reinsurance Premium} + \text{Coverage Substandard Premium} + \text{Substandard Reinsurance Premium (from the Substandard Reinsurance Premium ID)}$$

2.5 Reinsurance—Cloning a Treaty

Cloning a treaty copies the information from an existing treaty to a new Treaty ID. The information can then be updated as necessary. This is useful when only minor changes are necessary between treaties.

Enter Treaty File Information			
Company Code	01	Treaty Code	TREATY9C >>
Effective Start Date	01/01/1980	Stop Date	12/31/2099
Name Of Reinsurer	MR GREG K VANCE		
Treaty Type	Automatic	Coverage Mode	Monthly
Reinsurance Code	Yearly Renewable Term	Policy Fee In Prem	No
Prem Pymt Type	Advance Payment	Binding Limit	Multiplier 500.00%
Rein Premium ID	TREATY9	Min Cession Limit	\$5,000
Premium Mode/Usage	Monthly / Per 1000	Conversion Rate ID	
Recapture Dur Type	Not Defined	Substd Rein Premium ID	
Recapture Duration		Replace Rated Premium	
Waiver/Type	No /	GI Retention same as Base	No
Expense Allowances			
Expense Allowance ID	EXPENSE3	Substandard Expense ID2	
Facultative Pol Fee ID		Permanent Flat Xtra ID	PERM3
Substandard Expense ID1	SUBSTD3	Temporary Flat Xtra ID	TEMP3
Min Rating Pct For Exp	225.00%	Temporary Duration	05
Banding Information			
Band 2 Indicator	No	Band 2 Rein Prem ID	
Band Limit		Band 2 Exp Allow ID	
Constant Overrides Information			
Constant Rein Amt	No	Constant Reinsured %	No

Complete the following steps to clone a treaty.

1. From the Treaty File to clone, press **F8**.
2. Press **F4**. The data from the existing treaty is displayed.
3. Make the necessary changes to the data. **Be sure to update the ID in the Treaty field.**
4. Click **OK** to save the new treaty. The Name and Address Selection window is displayed.
5. Add or select the Name and Address Record for the reinsurer. Upon adding or selecting the record, the new treaty is saved.

2.6 Reinsurance—Updating a Treaty

Caution should be taken when updating a reinsurance treaty. Keep in mind that changes made to a treaty affect all policies reinsured under that treaty, not just new issues. If you wish to make changes to a treaty as of a certain effective date, a new treaty record should be added, using the same ID as the current treaty record, but with new start and stop dates.

Enter Treaty File Information			
Company Code	01	Treaty Code	TREATY1 >>
		Effective Start Date	01/01/1980
		Stop Date	12/31/2099
Name Of Reinsurer	TREATY1		
Treaty Type	Automatic	Coverage Mode	Policy Anniversary
Reinsurance Code	Yearly Renewable Term	Policy Fee In Prem	No
Prem Pymt Type	Advance Payment	Binding Limit	Multiplier 500.00%
Rein Premium ID		Min Cession Limit	\$5,000
Premium Mode/Usage	/ Per 1000	Conversion Rate ID	
Recapture Dur Type	Not Defined	Substd Rein Premium ID	
Recapture Duration		Replace Rated Premium	
Waiver/Type	Yes / Premium	GI Retention same as Base	No
Expense Allowances			
Expense Allowance ID	EXPENSE1	Substandard Expense ID2	
Facultative Pol Fee ID		Permanent Flat Xtra ID	PERM1
Substandard Expense ID1	SUBSTD1	Temporary Flat Xtra ID	TEMP1
Min Rating Pct For Exp	225.00%	Temporary Duration	05
Banding Information			
Band 2 Indicator	No	Band 2 Rein Prem ID	
Band Limit		Band 2 Exp Allow ID	
Constant Overrides Information			
Constant Rein Amt	No	Constant Reinsured %	No

Complete the following steps to update a reinsurance treaty.

1. Access the treaty to be updated.
2. Press **F10**.
3. Make the necessary updates.
4. Click **OK** to save the record. A window is displayed with the message *Add/Update Name-Addr (For Reinsurer)*.
5. Select **No** if no updates are needed to the Name of Reinsurer field. Press **Enter**. The treaty record is saved.

OR

Select **Yes** if the Name of Reinsurer field needs to be updated. Press **Enter**. The Name and Address Selection window is displayed. Add or select the reinsurer. Upon adding or selecting a reinsurer, the treaty file record is saved.

2.7 Reinsurance Trace Routine

The Reinsurance Trace Routine function provides a convenient tool for testing reinsurance. Upon completing the applicable fields, the resulting reinsurance information is displayed in the right side and lower left side sections of the screen.

Enter Reinsurance Generation Trace Routine Criteria			
Function	Setup With Policy	Company Code	01
		Effective Date	07/01/1998
Policy Number	8155555	Ben Ret	N
Benefit Sequence	01		T01
Issue Date	08/01/1997		T02
Benefit Type	Flex Base		T03
Sup Benefit Type			T04
Plan Code	UL1		T05
Base Plan Code	UL1		T06
Line of Business	Universal		T07
Issue State/Age	IN 032		T08
Gender	Female		T09
Underwriting Class	S		T10
Substandard Table			
Inforce Amount	1,000,000.00		
Additional Inforce Amount			
Total Inf	No	Tot Ret	
Total Kept	No	Fac Ind	
Ret	0011	Error Msg	No Limits On Coverage Record
			OK
			Cancel

Complete the following steps to run a trace.

- From the Reinsurance Setup Menu select **Trace Routine**. The Reinsurance Generation Trace Routine Criteria screen is displayed.
- Select one of the four options in the Function field.
 - Setup With Policy** This option runs a trace on an existing policy.
 - Setup Without Policy** This option runs a trace on a “dummy” policy.
 - Both Setup And Create**
 - Create Only**
- Complete the fields applicable to the test. If **Setup With Policy** was selected in the Function field, only the fields through the Benefit Sequence field need to be selected. (The

Reinsurance Record must be Active. If the Reinsurance Record is Pending, complete the additional fields, as if it were a “dummy” policy.)

4. After completing the applicable fields, click **OK** to generate the trace. The total retention is displayed in the Ben Ret field in the right section of the screen. The T01 through T10 fields each represent a treaty. One of these fields is completed for each treaty to which the policy is assigned. The Treaty ID is listed, as well as the amount reinsured.

Note that the Total Inf—Total Inforce and Total Kept—Total Kept (Retained) fields can be updated by selecting **Yes**, then updating the amount. Updating the Total Kept field allows you to observe the effect of manual overrides.

The Trace screen accesses the coverage level and the treaties tied to it.

2.8 Reinsurance Setup Coverage Segments

Eight coverage segments pertain to reinsurance. Of the eight, two are mandatory to process reinsurance and the remaining six are optional. The following coverage segments are reinsurance related.

- Retention Limits (Required)
- Treaty Selection (Required)
- Reinsurance Reserve Factors (Optional)
- Reinsurance Valuation Premiums (Optional)
- Reinsurance Substandard Table (Optional)
- Reinsurance Joint Age Adjustment (Optional)
- Reinsurance Joint Age Conversion (Optional)
- Reinsurance Reserves Treaty Factors (Optional)

Select Segments on Coverage				
Type	Segment Description		Segment ID	
UL	Corridor Calculation	Yes	CORRIDOR	>>
UM	Waiver Of Premium	Yes	UL1	>>
CC	Commissions	Yes	UL1	>>
RE	Retention Limits	Yes	UL1	>>
TR	Treaty Selection	Yes	SINGLE1	>>
RX	UL Reserve Method	Yes	UL1	>>
BP	Billable Premium	No		>>
BL	Billable Policy Fee	No		>>
NC	Net Premium Credited	No		>>
IB	IBA Accounts	Yes	UL1	>>
NB	New Business Defaults	Yes	UL1	>>
CV	Cash Values	No		>>

Sort List
 Date Subst
 Select
 Next
 Previous
 OK
 Cancel

Page 3 of 13

Refer to the Product Book, Section 12—Segments for more information on each of these segments.

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SECTION 3 REINSURANCE ACTIVITY

Chapter 1	Reinsurance Detail Information	3-5
1.1	Reinsurance Detail Record—Select and Display By Policy.....	3-7
1.2	Reinsurance Info By Policy Summary Record	3-8
1.3	Reinsurance Detail Screen	3-10
	Treaty/Allocation Detailed Information	3-15
	Reinsurance Detail Record—Add	3-19
	Retention Override	3-23
	Reinsurance—Terminate	3-25
1.4	Reinsurance Treaty Selection	3-26
1.5	Reinsurance Info By Treaty Summary Record.....	3-28
1.6	Reinsurance Information By Insured.....	3-30
	Reinsurance Info By Insured Summary Record	3-31
1.7	Reinsurance Adjustments Selection Menu	3-33

Chapter 2	Reinsurance Adjustments	3-34
2.1	Reinsurance Adjustments By Policy.....	3-35
2.2	Reinsurance Adjustments Screen.....	3-37
2.3	Reinsurance Adjustment Record—Add.....	3-40
	Reinsurance Adjustments—Select and Display By Treaty	3-41
	Reinsurance Adjustments By Treaty Summary Record	3-42
	Reinsurance Adjustments—Select and Display By Insured	3-43
	Reinsurance Adjustments By Insured Summary Record	3-44

Chapter 3	Reinsurance Recoverables Selection Menu	3-46
3.1	Reinsurance Recoverables Example	3-47
3.2	Reinsurance Recoverables Selection Menu	3-49
3.3	Reinsurance Recoverables By Policy	3-50
	Reinsurance Recoverables By Policy Summary Record	3-51
	Reinsurance Recoverables By Policy Detail Screen	3-52
	Reinsurance Recoverables—Add Recoverable	3-55
	Reinsurance Recoverables By Treaty	3-56
	Reinsurance Recoverables By Treaty Summary Record	3-57
	Reinsurance Recoverables By Insured	3-59
	Reinsurance Recoverables By Insured Summary Record	3-60
3.4	Reinsurance Accounting	3-62
3.5	External Reinsurance Information	3-64

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Section 3 Reinsurance Activity

The following options can be accessed from the Reinsurance Activity Menu.

Reinsurance Detail Information—This option provides access to Reinsurance Detail records. Records can be accessed by selecting a policy, treaty, or insured. The Detail records summarize reinsurance information for a benefit. The following processes are available from the Reinsurance Detail Information screen.

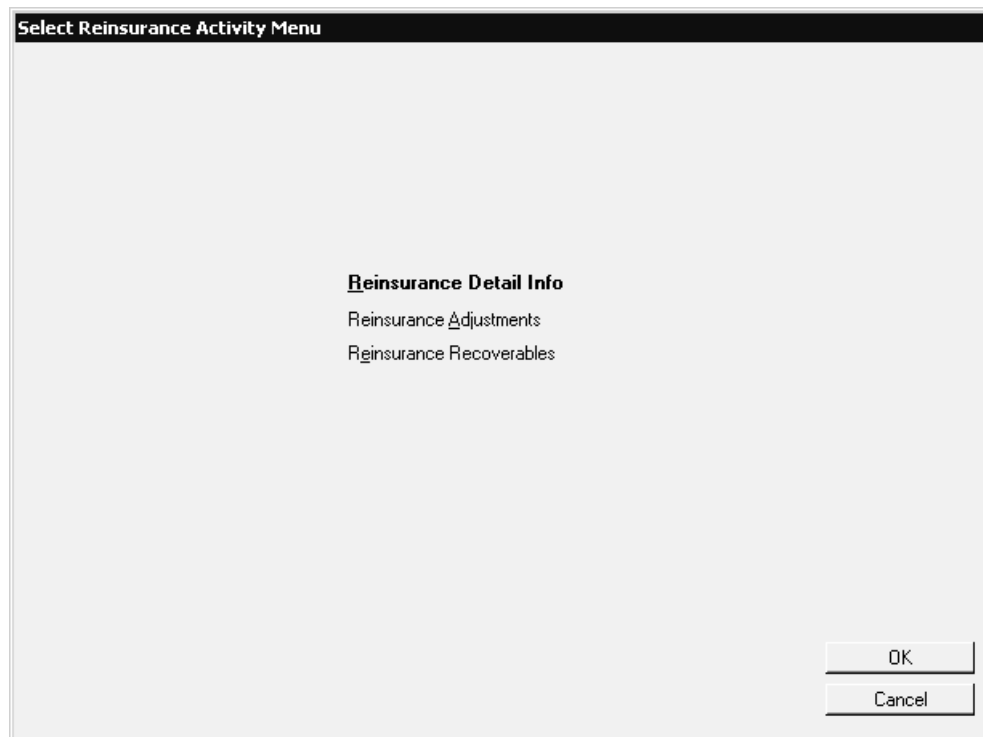
- Treaty and allocation information can be displayed or added.
- An effective date and reporting month or year can be added when a change is made to an amount reinsured.
- A reinsurance record can be added for a benefit that is not currently reinsured.
- Retention or treaty information can be manually overridden.
- Reinsurance for a benefit can be terminated.

Reinsurance Adjustments—An adjustment record can be used to adjust premiums, expenses or coinsurance loans, dividends, and surrenders for a specific treaty. Adjustment records are created automatically when the system needs to adjust the reinsurance premium to bring it current. For example, when a reinsured back dated policy is added to the system, adjustment records are created for past processing dates when the current reinsurance cycle is processed.

Reinsurance Recoverables—The Recoverables option is used to record the recovery from the reinsurer of death benefits paid.

Complete the following steps to display the Reinsurance Activity Menu.

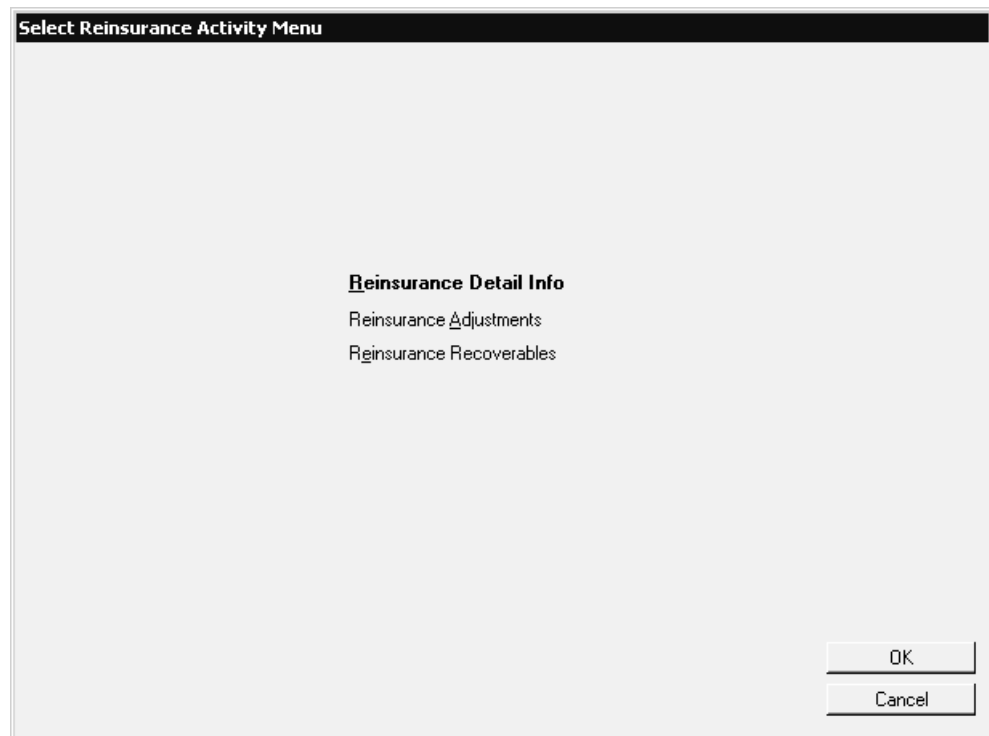
1. From the LifePRO® Main Menu select **Reinsurance System**. The Reinsurance System Menu is displayed.
2. Select **Reinsurance Activity**. The Reinsurance Activity Menu is displayed.



3. To access one of the options on the Reinsurance Activity Menu, select that option.

Chapter 1 Reinsurance Detail Information

Reinsurance Detail Information provides access to Reinsurance Detail records. Records can be accessed by selecting a policy, treaty, or insured. The detail records summarize reinsurance information for a benefit.



Complete the following steps to display the Detail Information Selection Menu.

1. From the Reinsurance Menu select **Reinsurance Activity**. The Reinsurance Activity Menu is displayed.
2. Select **Reinsurance Detail Info**. The Selection Menu is displayed.

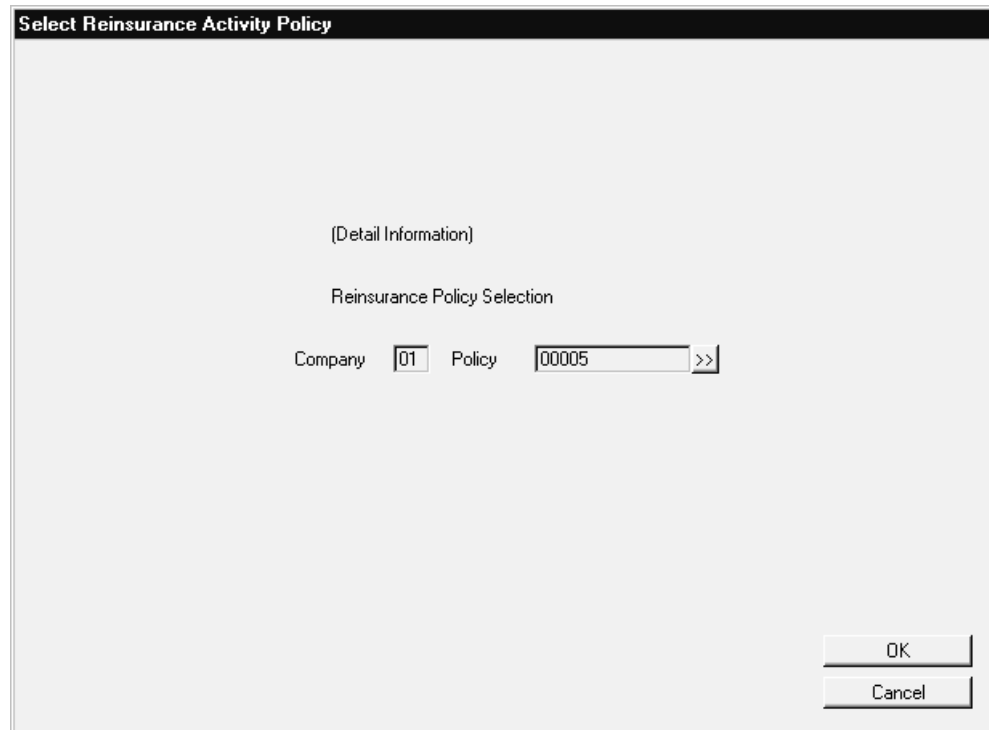
The menu provides three options for displaying Reinsurance Information records. From the Reinsurance Information Summary record, the Reinsurance Detail record can be accessed.

- Select & Display by Policy—A summary of all reinsured benefits for a policy is displayed.
- Select & Display by Treaty—A summary of all benefits reinsured under a selected treaty is displayed.
- Select & Display by Insured—A summary of all reinsured benefits for an insured is displayed.

While the three types of summary records vary slightly in their display, the detail record does not vary according to how it is accessed.

1.1 Reinsurance Detail Record—Select and Display By Policy

The Select & Display by Policy option accesses the reinsurance benefit information for an insured by the company code and policy number entered or by selecting a policy from a cross reference window.



Select Reinsurance Activity Policy

(Detail Information)

Reinsurance Policy Selection

Company 01 Policy 00005 >>

OK

Cancel

Select **Select & Display by Policy** from the Reinsurance Activity Menu. The Reinsurance Activity Policy screen is displayed.

There are two ways to access the Reinsurance Information by Policy Summary screen.

- Input the Company Code and Policy Number fields and click **OK**. The summary record for the selected policy is displayed.
- From the Selection window, click **>>** from the Policy Number field. The cross reference window is displayed. The cross reference window displays all policies on the system, and a Yes or No to indicate whether or not the policy is reinsured.

Press **Page Up** or **Page Down** to move through multiple screens of the cross reference list. Use the up and down arrow keys to move within a screen. To access one of the policies on the cross reference window, click the desired selection.

1.2 Reinsurance Info By Policy Summary Record

The Reinsurance Information by Policy screen displays information such as the company code, policy number, benefit sequence, insured name, and amount reinsured. This screen also accesses the Reinsurance Detail screen for benefits listed on the screen.

Reinsurance Information By Policy					
Company	01	Policy Number	000TST000040	Total Amount Reinsured	149,059.58
Benefit Information					
SQ	S	RC	TP	Insured Name	Amt Reinsured
01	A		BF	JAMES Q RIDER	149,059.58
					Next Previous OK Cancel

After selecting a particular policy, the Reinsurance Information by Policy Summary screen is displayed. This screen lists each policy benefit and the amount reinsured for that benefit.

To access the detail screen for any of the benefits listed, click on the benefit.

The following table contains field definitions for the fields on the Reinsurance Information by Policy Summary screen.

Field	Description
Company	The company code selected is displayed in this field.
Policy Number	The policy number selected is displayed in this field.
Total Amount Reinsured	The total amount reinsured for all policy benefits is displayed in this field.
SQ	The benefit sequence number is displayed.
S	The benefit status is displayed.
RC	The reason code for the benefit status listed.
TP	The benefit type is displayed.

Field	Description
Insured Name	The name of the insured is displayed in this field.
Amt Reinsured	The amount reinsured for the benefit on that line is displayed in this field.

1.3 Reinsurance Detail Screen

The Reinsurance Detail screen is the main reinsurance screen which displays detailed reinsurance information. This screen can be accessed through the Reinsurance System, the Name and Address Record, or the Benefit Detail screen. Each reinsured benefit has at least one detail record, and each time the benefit is picked up by reinsurance processing, a new record is created with the corresponding processing effective date.

Press **Page Up** or **Page Down** to move through additional records.

Enter Reinsurance Detail									
Company Code	01 >>	Policy Number	00005 >>	Ben Seq	01 >>	Eff DT	01/15/1995 >>	Rec Seq	0002 >>
Benefit Data									
Insured Name ANDREA MICHAELS									
Issue Date	01/15/1995	Benefit Status	Active	Date	01/15/1995	Line of Business	Traditional		
Plan Code	W/L	Benefit Type	Traditional Base	Sup Ben Type		Issue State	IN		
Issue Age	040	Gender	Female	UW Class	S	Death Benefit Option			
Policy Fee		Benefit Premium	4,625.08	Death Benefit Amount	200,000.00				
Table Rating		Source Code		Specified Amount	200,000.00				
Percent Rating		Converted Issue		Fund Balance					
Flat Xtra		Converted UW		Net Amt At Risk	200,000.00				
Percent Cease Date		Converted Issue		Converted Amount					
Flat Cease		Joint Age Derived	No	Maint Const	No	Trad NAR		Calc Prem Option	Current
Reinsurance Data									
Reinsurance Status	Active	Treaty/Allocation Percent (F3 and Select for Treaty Info)							
Reinsurance	New Issue								
Retention	No	TREATY8 100.00							
Retention Amt									
Joint Retention									
Primary Retention									
History Data									
Coder ID	LMB	Creation	New Business	Date/Time Added	10/15/1996	09:33			
							Inquiry	Terminate	OK
							Cancel		

The list below is a summary of features available through the Reinsurance Detail screen. Each feature is described in further detail in the pages following.

- Treaty and allocation information is displayed in the bottom section of the screen. Click **Inquiry** then select the desired treaty to access detailed treaty information. The information displayed includes the amount reinsured on a treaty and reinsurance premium and expense information.
- Treaty information can be added.
- An effective date and reporting month and year can be added when a change is made to an amount reinsured.
- A reinsurance record for a benefit that is not reinsured can be added in order to reinsure a portion or all of the benefit.

- Retention or treaty information can be manually overridden.
- Reinsurance for a benefit can be terminated.

The following table contains field definitions for the Reinsurance Detail screen.

Field	Description
Company Code	The company code is displayed in this field. Click >> to display the Reinsurance Detail Cross Reference screen.
Policy Number	The policy number to which this record is applicable is displayed in this field. Click >> to display the Reinsurance Detail Cross Reference screen.
Ben Seq	The benefit sequence number for the reinsured benefit is displayed in this field.
Eff DT	The effective date of the record is displayed in this field. A new record is created each time the policy is picked up by reinsurance processing.
Rec Seq	This field displays the record sequence number. Each reinsurance record is assigned a sequence number. The sequence number starts over at 001 for each new effective date.
Benefit Data	The Benefit Data section displays policy benefit and reinsurance information. The policy benefit fields in this section are informational only. The reinsurance fields are defined below.
Source Code	This field indicates if the reinsurance on the policy has been converted. Blank Reinsurance has not been converted on this policy. Converted Reinsurance has been converted on this policy.
Converted Issue Age	If using Conversion Method 1 (set on the Reinsurance Management Options screen), a conversion age that is used in the reinsurance premium and expense calculations can be input. If a conversion issue age was input through the Reinsurance screen when the policy was added during New Business or manually added through the Inforce System, it is displayed in this field.
Converted UW Class	If using Conversion Method 1 (set on the Reinsurance Management Options screen), a conversion underwriting class that is used in the reinsurance premium and expense calculations can be input. If a conversion underwriting class was input through the Reinsurance screen when the policy was added during New Business or manually added through the Inforce System, it is displayed in this field.

Field	Description
Converted Issue	If using Conversion Method 1 (set on the Reinsurance Management Options screen), a conversion issue date that is used in the reinsurance premium and expense calculations can be input. If a conversion issue date was input through the Reinsurance screen when the policy was added during New Business or manually added through the Inforce System, it is displayed in this field.
Converted Amount	If using Conversion Method 1 (set on the Reinsurance Management Options screen), a conversion face amount that is used in the reinsurance premium and expense calculations can be input. If a conversion face amount was input through the Reinsurance screen when the policy was added during New Business or manually added through the Inforce System, it is displayed in this field.
Joint Age Derived	This field determines if retention is tracked for each insured or on a policy basis. N—No Retention is tracked on a policy basis. Y—Yes Retention is tracked for each insured.
Maint Const	This field determines if changes in the net amount at risk (NAR) are reflected in the reinsured and retained amounts. N—No Changes in the NAR are reflected in the reinsured portion only. Y—Yes Changes in the NAR are kept at the same percentage as originally issued and affect both retained and reinsured portions.
Trad NAR	This field determines if the net amount at risk (NAR) includes the terminal reserve. “ —Blank NAR is used. R—R NAR less the terminal reserve is used.
Calc Prem Option	This field determines the units used in the reinsurance premium and expense calculations. C—Current The current base unit is used. O—Original The original base unit is used.

Field	Description
Reinsurance Data	
Reinsurance Status	This field lists the reinsurance status for the benefit. Reinsurance Processing only picks up a benefit with a Reinsurance Status that is A—Active. Keep in mind that the most current record should be accessed when checking a benefit's reinsurance status. A—Active P—Pending T—Terminated
Reinsurance	NI—New Issue FY—First Year RN—Renewal RI—Reissue RS—Reinstatement AR—Auto Recapture SR—Surrender DC—Death Claim EB—Exchange Benefit EX—Expiration LP—Lapse MA—Maturity CA—Canceled OT—Other Terminations
Retention	This field determines if the Retention Amount field can be overridden. Y—Yes The retention amount in the next field can be updated. If the retention amount is updated, the reinsured amount must also be adjusted via the Inquiry option. N—No The retention amount cannot be updated. This is the default.
Retention Amt	This field lists the retention amount for the benefit.
Joint Retention	The joint insured's retention amount is displayed in this field if the Calc Retention Per Insured on Joint Policies field on the RE—Retention Limits Segment is set to Yes .

Field	Description
Primary Retention	The primary insured's retention amount is displayed in this field if the Calc Retention Per Insured on Joint Policies field on the RE—Retention Limits Segment is set to Yes .
History Data	The History Data displays information about when and how the record was created.
Coder ID	This field displays the coder ID of the user who carried out the processing that resulted in this record being created.
Creation	This field displays how the record was created. New Business Conversion Manual Entry Processing Quota Share
Date/Time Added	The date and time that the record was added is displayed in this field.
-- Treaty/Allocation Percent --	This section of the screen displays the treaty (or treaties) to which the reinsurance is assigned. To the right of the treaty name, the percentage assigned to that treaty is listed. If a treaty was assigned by Quota Share Processing, the message <i>Q Share</i> is displayed instead of a percentage for that treaty. A detail window can be accessed for the record. To access the detail window, click Inquiry. The cursor moves to the Treaty/Allocation section of the screen. Click the desired treaty to access the record.

Treaty/Allocation Detailed Information

The Reinsurance Detail Treaty screen displays the amount reinsured on a treaty and reinsurance premium and expense information. The fields in the lower section of the screen showing premiums and expenses are not completed until reinsurance is processed for the policy.

Reinsurance Detail Treaty	
Reinsurer's Name	WE REINSURE INC
Treaty Override	No
Treaty Code	TREATY8 >>
Treaty Type	Facultative
Reinsured Amount Override	No
Reinsured Amount	200,000.00
Allocation Percent	100.0000%
Last Prem Pay Dt	
Recovery Date	
Recovery Amount	
Gross Reinsurance Premium	
Flat Extra Premium	
Normal Exp Allowance	
Substandard Exp Allowance	
Flat Extra Exp Allowance	
Dividends	
Loans	
Surrenders	
Converted Business	
Issue Date	
Issue Age	
Uwcls	
Net Reinsurance Premium	
OK	
Cancel	

Complete the following steps to access the Reinsurance Detail Treaty screen.

1. From the Reinsurance Detail Information screen click **Inquiry**.
2. Click the name of the treaty to access.

The following table contains field definitions for the Treaty Detail Information screen.

Field	Description
Reinsurer's Name	The name of the reinsurer is displayed in this field.
Treaty Override	This field indicates if the selected treaty was the result of a manual override. Y—Yes The selected treaty was the result of a manual override. N—No The selected treaty was not the result of a manual override.
Treaty Code	Each treaty has a user defined identifying code.
Treaty Type	A—Automatic B—Bulk F—Facultative Q—Quota Share G—Group Bulk
Reinsured Amount Override	This field indicates if there was a manual override of the reinsured amount. Y—Yes There was a manual override of the reinsured amount. N—No There was no manual override of the reinsured amount.
Reinsured Amount	The amount reinsured is displayed in this field. Note that this amount corresponds with the effective date of the record.
Allocation Percent	This is the percentage of the reinsured amount that is allocated to this treaty.
Last Prem Pay Dt	Reinsurance Processing updates this field to reflect the last premium pay date.
Recovery Date	For claims, when the amount is recovered from the reinsurer, the date that the amount was recovered is entered in this field.
Recovery Amount	This is the amount that is recovered from the reinsurer after the claim is processed.
Converted Business Issue Date	If using Conversion Method 2 (set on the Reinsurance Management Options screen), the system allows the input of a conversion issue date, age, and underwriting class to be used in the reinsurance premium and expense calculations. If a conversion issue date was selected, it is displayed in this field.

Field	Description
Converted Business Issue Age	If using Conversion Method 2 (set on the Reinsurance Management Options screen), the system allows the input of a conversion issue date, age, and underwriting class to be used in the reinsurance premium and expense calculations. If a conversion issue age was selected, it is displayed in this field.
Converted Business Uwcls	If using Conversion Method 2 (set on the Reinsurance Management Options screen), the system allows the input of a conversion issue date, age, and underwriting class to be used in the reinsurance premium and expense calculations. If a conversion underwriting class was selected, it is displayed in this field.
Gross Reinsurance Premium	The gross reinsurance premium for the processing date listed is displayed in this field.
Flat Extra Premium	The flat extra premium for this benefit for the processing date listed is displayed in this field.
Normal Exp Allowance	The normal expense allowance for this benefit for the processing date listed is displayed in this field.
Substandard Exp Allowance	The substandard expense allowance for this benefit for the processing date listed is displayed in this field.
Flat Extra Exp Allowance	The flat extra expense allowance for this benefit for the processing date listed is displayed in this field.
Dividends	Important If a treaty is set as Coinsurance and a dividend is reported and recovered, the dividend amount is not displayed in this field for the processing date. To view the dividend amount, access Treaty Accounting or the Monthly Reinsurance Report. Treaty Accounting is accessed by selecting Inforce and entering the company code and treaty ID. Click OK. The message <i>Record Not Found</i> is displayed at the bottom of the screen. Click Accounting to access the Accounting Menu. Select Accounting History. Note that a dividend adjustment can be added from the Reinsurance Adjustments option from the Reinsurance Activity Menu.

Field	Description
Loans	Important If a treaty is set as Coinsurance, and a loan is reported and recovered, the loan amount is not displayed in this field for the processing date. To view the loan amount, access the Treaty Accounting or the Monthly Reinsurance Report. Treaty Accounting is accessed by selecting Inforce and entering the Company Code and Treaty ID. Click OK. The message <i>Record Not Found</i> is displayed at the bottom of the screen. Click Accounting to access the Accounting Menu. Select Accounting History. Note that a loan adjustment can be added from the Reinsurance Adjustments option from the Reinsurance Activity Menu.
Surrenders	Important If a treaty is set as Coinsurance, and a surrender is reported and recovered, the surrender amount is not displayed in this field for the processing date. To view the surrender amount, access the Treaty Accounting or the Monthly Reinsurance Report. Treaty Accounting is accessed by selecting Inforce and entering the Company Code and Treaty ID. Click OK. The message <i>Record Not Found</i> is displayed at the bottom of the screen. Click Accounting to access the Accounting Menu. Select Accounting History. Note that a surrender adjustment can be added from the Reinsurance Adjustments option from the Reinsurance Activity Menu.
Net Reinsurance Premium	The net reinsurance premium due for this benefit from the last processing cycle is displayed in this field.

Reinsurance Detail Record—Add

A Reinsurance Record can be set up for a benefit that is not reinsured in order to reinsure a portion or all of the benefit.

Reinsurance Information By Policy					
Company	01	Policy Number	A970612016	Total Amount Reinsured	50,000.00
Benefit Information					
SQ	S	RC	TP	Insured Name	Amt Reinsured
01	A		BA	CHRISTINA VINCENT	.00
02	A		SU	CHRISTINA VINCENT	.00
03	A		SU	CHRISTINA VINCENT	50,000.00
04	A		OR	SHAWN VINCENT	.00

Complete the following steps to add a detail record for a benefit that is not reinsured.

1. Access the Reinsurance Information by Policy Summary screen for the benefit. (This screen can be accessed by policy, insured, or treaty.) Even if a benefit is not reinsured, it is listed on the summary screen. The Amt Reinsured is displayed as zero.
2. Click on the desired benefit. The message *No Reinsurance Record Found. Press Enter To Continue* is displayed.
3. Click **OK**. The Reinsurance Detail screen is displayed.
4. Input the reinsurance effective date in the Eff DT field.
5. Press **F8** to add the record. The Benefit Data section displays informational only data from the benefit and is completed by the system, with the exception of the Net Amt At Risk field.

6. In the Net Amt At Risk field, designate the net amount at risk for the benefit.

Enter Reinsurance Detail									
Company Code	01 >>	Policy Number	ACCTGED1 >>	Ben Seq	02 >>	Eff DT	02/23/2000 >>	Rec Seq	0001 >>
Benefit Data									
Insured Name	STEVE GARVEY								
Issue Date	01/01/1996	Benefit Status	Active		Date	01/01/1996	Line of Business	Traditional	
Plan Code	WP	Benefit Type	Supplemental		Sup Ben Type	Waiver of Premium	Issue State	IN	
Issue Age	034	Gender	Male		UW Class	S	Death Benefit Option		
Policy Fee		Benefit Premium			Death Benefit Amount				
Table Rating		Source Code			Specified Amount				
Percent Rating		Converted Issue			Fund Balance				
Flat Xtra		Converted UW			Net Amt At Risk	75,000.00			
Percent Cease Date		Converted Issue			Converted Amount				
Flat Cease		Joint Age Derived	No		Maint Const	No		Trad NAR	
								Calc Prem Option	
Reinsurance Data									
Reinsurance Status	Active	Treaty/Allocation Percent (F3 and Select for Treaty Info)							
Reinsurance	New Issue								
Retention	Yes								
Retention Amt	10,000.00								
Joint Retention									
Primary Retention									
History Data									
Coder ID	Creation	Manual Entry	Date/Time Added						
Inquiry Terminate OK Cancel									

7. In the Reinsurance Data section, enter a Reinsurance Category, and select **Yes** in the Retention field.
8. Input the retention amount in the Retention Amt field.

9. Click **Inquiry** and select the desired treaty to display the Reinsurance Detail Treaty screen.

Reinsurance Detail Treaty			
Reinsurer's Name	TREATY1		
Treaty Override	Yes	Reinsured Amount Override	Yes
Treaty Code	TREATY1 >>	Reinsured Amount	10,000.00
Treaty Type	Automatic	Allocation Percent	100.0000%
Last Prem Pay Dt		Gross Reinsurance Premium	
Recovery Date		Flat Extra Premium	
Recovery Amount		Normal Exp Allowance	
		Substandard Exp Allowance	
		Flat Extra Exp Allowance	
		Dividends	
		Loans	
		Surrenders	
Converted Business		Net Reinsurance Premium	
Issue Date			
Issue Age			
Uwcls			
		OK	
		Cancel	

10. Complete the following fields.

Treaty Override—**Y—Yes**

Reinsured Amt Override—**Y—Yes**

Treaty Code—**input the Treaty ID**

Reinsured Amount—**input the reinsured amount**

Treaty Type

11. Click **OK** to return to the Detail Record.

12. Click **Cancel**.

13. Click **OK** to save the record. The Reinsurance Auto-Adjust window is displayed.

The screenshot shows the 'Enter Reinsurance Detail' window. At the top, there are fields for Company Code (01), Policy Number (000TST000020), Ben Seq (01), Eff DT (09/01/2002), and Rec Seq (0001). Below these are various fields for Insured Name (HENRY Q CLAY), Issue Date (04/01/2000), Benefit Status (Terminated), Renewal Date (04/01/2000), Line of Business (Traditional), Plan Code (GWART), Benefit Type (Traditional Base), Sup Ben Type, Issue State (IN), Issue Age (040), Gender (Male), U/W Class (S), Death Benefit Option, Policy Fee, Benefit Premium, Death Benefit Amount, Table Rating, Source Code, Specified Amount, Percent Rating, Converted Issue, Fund Balance, and Flat Xtra (50,000.00). A 'Calc Prem Option' dropdown is set to 'Current'. The 'Reinsurance Auto-Adjust' dialog box is open, displaying the message: 'Changes were made to Reinsurance Amounts for one or more Treaties. You may modify the effective date of the change by entering a new date below; otherwise the change will take effect on the next processing date.' The dialog box has fields for 'Effective Date' (09/01/2002) and 'Report Month/Year' (06 / 2001), and buttons for 'OK', 'Cancel', 'Inquiry', 'Terminate', and 'OK/Cancel'.

When a change is made to the amount reinsured, the Reinsurance Auto-Adjust window is displayed allowing the selection of the effective date of the change and reporting month and year. The Report Month/Year controls when the record is reported by reinsurance processing. The Report Month/Year field defaults to the next Reinsurance Processing date. Do not update this date to a prior date, or the change is not reported.

14. Update the Effective Date and Report Month/Year fields, or accept the defaults.
15. Click **OK** to complete the add process.

Retention Override

The retention amount for a benefit can be updated using the Retention Override option on the most recent Reinsurance Detail Record.

Enter Reinsurance Detail									
Company Code	[01 >>]	Policy Number	[ACCTGED1 >>]	Ben Seq	[01 >>]	Eff DT	[01/01/1996 >>]	Rec Seq	[0002 >>]
Benefit Data									
Insured Name STEVE GARVEY									
Issue Date	[01/01/1996]	Benefit Status	[Active]	Date	[01/01/1996]	Line of Business	[Traditional]		
Plan Code	[W/L]	Benefit Type	[Traditional Base]	Sup Ben Type		Issue State	[IN]		
Issue Age	[034]	Gender	[Male]	UW Class	[S]	Death Benefit Option			
Policy Fee		Benefit Premium	[1,797.24]	Death Benefit Amount	[100,000.00]				
Table Rating		Source Code		Specified Amount	[100,000.00]				
Percent Rating		Converted Issue		Fund Balance					
Flat Xtra		Converted UW		Net Amt At Risk	[100,000.00]				
Percent Cease Date		Converted Issue		Converted Amount					
Flat Cease		Joint Age Derived	[No]	Maint Const	[No]	Trad NAR		Calc Prem Option	[Current]
Reinsurance Data									
Reinsurance Status	[Active]	Treaty/Allocation Percent (F3 and Select for Treaty Info)							
Reinsurance	[New Issue]								
Retention	[No]	TREATY8 100.00							
Retention Amt	[25,000.00]								
Joint Retention									
Primary Retention	[25,000.00]								
History Data									
Coder ID	TLS	Creation	New Business	Date/Time Added	06/25/1997	16:38			
							Inquiry		
							Terminate		
							OK		
							Cancel		

Complete the following steps to override the retention for a reinsured benefit.

1. Access the most recent Reinsurance Detail Record for the benefit.
2. Press **F10**.
3. Select **Y—Yes** in the Retention field.
4. Update the Retention Amt field to reflect the correct retention.
5. Click **Inquiry** to access the Reinsurance Detail Treaty screen so that the reinsured amount can be updated.
6. Select the desired treaty.

NOTE: A new Treaty Information Record can be added instead of selecting an existing record. Press **F8** after step 5 to add.

7. Select **Y—Yes** in the Reinsured Override field.
8. Update the reinsured amount.
9. Click **OK**.

Reinsurance Detail Treaty			
Reinsurer's Name		WE REINSURE INC	
Treaty Override	No	Reinsured Amount Override	Yes
Treaty Code	TREATY8 >>	Reinsured Amount	56,000.00
Treaty Type	Facultative	Allocation Percent	100.0000%
Last Prem Pay Dt	02/23/2000	Gross Reinsurance Premium	
Recovery Date		Flat Extra Premium	
Recovery Amount		Normal Exp Allowance	
		Substandard Exp Allowance	
		Flat Extra Exp Allowance	
		Dividends	
		Loans	
		Surrenders	
Converted Business		Net Reinsurance Premium	
Issue Date			
Issue Age			
Uwcls			
OK			
Cancel			

10. The Automatic Adjustments window is displayed. Complete the dates and click **OK** to complete the process.

Reinsurance—Terminate

Reinsurance for a benefit can be terminated from the Reinsurance Detail Record for that benefit. Reinsurance can be terminated as of the date of or a date prior to the next reinsurance processing date. Reinsurance cannot be terminated past the next processing date. If reinsurance is terminated prior to the next processing date, premiums and expenses are automatically adjusted to reflect the termination.

The screenshot shows the 'Enter Reinsurance Detail' window. At the top, fields for Company Code (01), Policy Number (00008), Ben Seq (02), Eff DT (01/15/1995), and Rec Seq (0002) are visible. The 'Benefit Data' section includes Insured Name (ANDREA MICHAELS), Issue Date (01/15/1995), Benefit Status (Active), Date (01/15/1995), Line of Business (Traditional), Plan Code (W/L AD), Issue Age (040), Policy Fee, Table Rating, Percent Rating, Flat Xtra, Percent Cease Date, and Flat Cease. The 'Automatic Adjustments' sub-window is open, showing an Effective Date of 02/25/2000 and a 'Terminate Reinsurance' button. The 'Reinsurance Data' section includes Reinsurance Status (Active), Treaty/Allocation Percent (F3 and Select for Treaty Info), Retention (No), Retention Amt, Joint Retention, and Primary Retention. The 'History Data' section shows a table with columns: Coder ID, LMB, Creation, New Business, Date/Time Added, and values: 10/15/1996 09:39. Buttons for Inquiry, Terminate, OK, and Cancel are on the right.

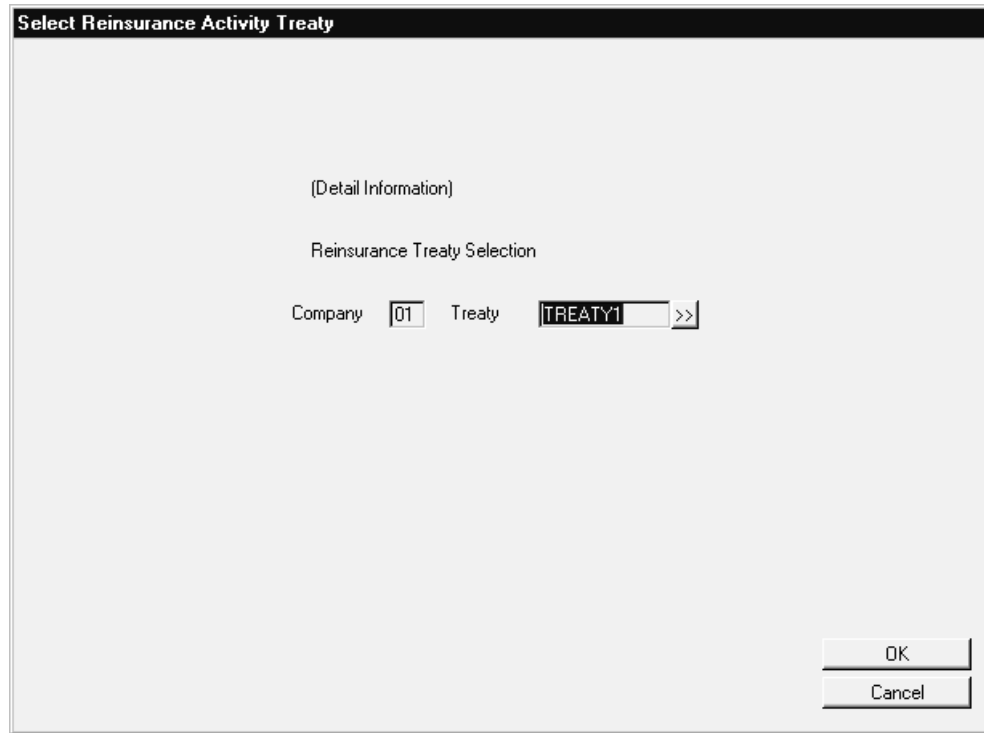
Complete the following steps to terminate reinsurance.

1. Access the most current Reinsurance Detail Record for the benefit.
2. Click **Terminate**. The Automatic Adjustments window is displayed.
3. Input the termination date in the effective date field.
4. Select **Terminate Reinsurance**. Click **Cancel**.

The detail record is terminated with a reason code of OT—Other Terminations.

1.4 Reinsurance Treaty Selection

The Reinsurance Treaty Selection accesses the Reinsurance Information by Treaty screen which displays all reinsured benefits for a specific Treaty Code.



Select Reinsurance Activity Treaty

(Detail Information)

Reinsurance Treaty Selection

Company 01 Treaty TREATY1 >>

OK

Cancel

Complete the following steps to access the Reinsurance Summary by Treaty screen.

1. From the Reinsurance Activity Menu select **Reinsurance Detail Info**. The Detail Information Selection Menu is displayed.
2. Click on **Select & Display By Treaty**. The Reinsurance Treaty Selection window is displayed.

3. Input the Company Code and Treaty ID fields and click **OK**. Or click **>>** to access the cross reference window. The cross reference window displays all treaty codes. Click on the desired selection.
4. The Reinsurance Information by Treaty screen displays all policies that are reinsured under a specific treaty. This screen accesses the Reinsurance Detail screen for any of the policies listed.

NOTE

There is a Status and Reason Code column for each benefit. This indicates the status of the Reinsurance Record. The Reinsured column displays the most current reinsurance amount. In the event of terminations, this value is **not** set to zero.

1.5 Reinsurance Info By Treaty Summary Record

The Reinsurance Information By Treaty screen displays all policies that are reinsured under a specific treaty. This screen provides access to the Reinsurance Detail screen for any of the policies listed.

Reinsurance Information By Treaty												
Treaty Code		TREATY1										
Reinsurer Name		TREATY1										
Co	Policy	SQ	S	RC	TP	SU	Plan Code	Age	S	U	Benefit Amount	Amount Reinsured
01	000TST000020	01	T	RN	BA		GWART	040	M	S	0.00	25,000.00
01	000TST000023	01	A		BA		GWART	040	M	S	300,000.00	100,000.00
01	000TST000024	01	A		BA		GWART	040	M	S	250,000.00	100,000.00
01	000TST000027	01	A		BF		GWUL2	040	M	S	249,630.27	147,157.65
01	000TST000028	01	A		BF		UL2	040	M	S	250,000.00	0.00
01	000TST000040	01	A		BF		GWUL2	042	M	S	250,000.00	149,059.58
01	000TST000045	01	T	LP	BA		GWART	040	M	S	100,000.00	25,000.00
01	000TST000046	01	A		BF		GWUL2	040	M	S	250,000.00	122,806.88
01	000TST000047	01	A		BF		GWUL2	040	M	S	250,000.00	122,806.88
01	000TST000048	01	A		BF		GWUL2	040	M	S	250,000.00	122,806.88
01	000TST000049	01	T	LP	BF		GWUL2	040	M	S	250,000.00	125,871.38
01	000TST000050	01	A		BA		GWART	040	M	S	100,000.00	25,000.00
01	000TST000051	01	A		BA		GWART	040	M	S	100,000.00	25,000.00
01	20010104006A	01	A		BA		EMGPARWL	050	M	S	100,000.00	50,000.00
01	20010104006B	01	A		BA		EMGPARWL	050	M	S	100,000.00	100,000.00

NOTE

Important: There are Status and Reason Code columns for each benefit. This indicates the status of the reinsurance record. The reinsured column displays the most recent reinsurance amount. In the event of terminations, this value is **not** set to zero.

To access the Detail Record for any of the benefits listed, click on the desired benefit.

The following table contains field definitions for the fields on the summary screen.

Field	Description
Treaty Code	The treaty code is displayed in this field.
Reinsurer Name	The name of the reinsurer for the treaty code is displayed in this field.
Co	The company code is displayed in this field.
Policy	The policy number is displayed in this field.
SQ	The benefit sequence number is displayed in this field.
S	The benefit status is displayed in this field.
RC	The benefit status reason code is displayed in this field.
TP	The benefit type is displayed in this field.
SU	If the benefit is a supplemental benefit, SU is displayed in this field.
Plan Code	The plan code for the benefit listed on the same line is displayed in this field.
Age	The issue age of the insured is displayed in this field.
S	The gender of the insured is displayed in this field.
U	The underwriting class is displayed in this field.
Benefit Amount	The benefit amount for the benefit listed on the same line is displayed in this field.
Amount Reinsured	The most current reinsured amount for the benefit listed on that line is displayed in this field. ***Important—Check the Status and Reason to make sure the benefit is not terminated.***

1.6 Reinsurance Information By Insured

The Select & Display by Insured option provides access to the Reinsurance Information by Insured screen of all benefits for a specific insured through the Name and Address window.

Enter Search Information

Enter The Individual Or Business Name All Names

Individual Name

First JENNIFER Middle Last ANDERSON

Social Security Number - -

Business Name

Payor ID Search:

Tax ID Number

OK

Cancel

Complete the following steps to access the Reinsurance Information by Insured screen.

1. From the Reinsurance Detail Information Menu select **Select & Display By Insured**. The Name and Address window is displayed.
2. Input the name of the insured and click **OK**.

If the selection is an exact match, the Name and Address screen is displayed. A Confirmation window is also displayed with the message, *Is This The Right Person?*.

If the selection was not an exact match to an existing Name and Address Record, access the record via the Name and Address cross reference window.

3. After selecting the Name and Address Record, the Reinsurance Information by Insured Summary screen is displayed.

Reinsurance Info By Insured Summary Record

After selecting an insured, the Reinsurance Information by Insured screen is displayed. This screen lists the benefits for each policy for the selected insured.

Reinsurance Information By Insured									
Insured Name		JAKE ADAMS							
Total Inforce		400,000.00		Ret		400,000.00		Rein 0.00	
Co	Policy	SQ	S	RC	TP	Plan Code	Reinsur Stat	Benefit Amount	Amount Reinsured
01	PUA	01	A	BA	CTPARWL		N/A	100,000.00	0.00
01	SBMPAC04C	01	A	BA	ART2		N/A	150,000.00	0.00
01	SBMPAC05C	01	A	BA	ART2		N/A	150,000.00	0.00

To access the Reinsurance Detail Record for any of the benefits listed, click on the desired benefit.

The following table contains field definitions for the Summary screen fields.

Field	Description
Insured Name	The name of the insured is displayed in this field.
Total Inforce	The total inforce for all policies for the insured is displayed in this field.
Ret	The total retention for all policies for the insured listed is displayed in this field.
Rein	The total amount reinsured for all policies for the insured listed is displayed in this field.
Co	The company code is displayed in this field.
Policy	The policy number is displayed in this field.
SQ	The benefit sequence number is displayed in this field.
S	The benefit status is displayed in this field.
RC	The benefit status reason code is displayed in this field.

Field	Description
TP	The benefit type is displayed in this field.
Plan Code	The plan code associated with the benefit on the same line is displayed in this field.
Reinsur Stat	The reinsurance status is displayed in this field. Active Pending Terminated N/A—Note that a record is written for each policy regardless of whether or not it is reinsured. If a policy is not reinsured, the status is N/A.
Benefit Amount	The benefit amount is listed in this field.
Amount Reinsured	The amount reinsured for the benefit listed on the same line is displayed.

1.7 Reinsurance Adjustments Selection Menu

An adjustment record can be used to adjust premiums, expenses or coinsurance loans, dividends and surrenders for a specific treaty. Adjustment records are created automatically when the system needs to adjust the reinsurance premium to bring it current. For example, if a reinsured back dated policy is added to the system, adjustment records are created for past processing dates when the current reinsurance cycle is processed.



From the Reinsurance Activity Menu, select **Reinsurance Adjustments**. The Adjustment Selection Menu is displayed.

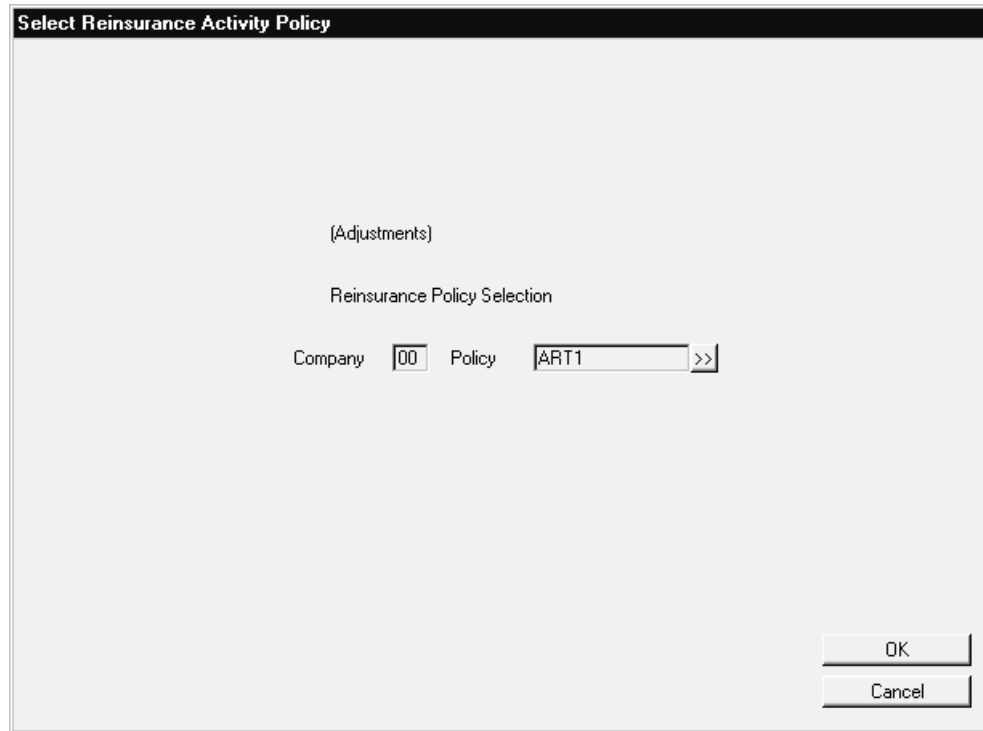
The selection made on this menu determines the items that are displayed on the Reinsurance Adjustments Summary screen. The Reinsurance Adjustments screen is accessed from the summary screen. The summary record can be selected and displayed by the following options.

- Policy—All adjustments for a policy
- Treaty—All adjustments for a treaty
- Insured—All adjustments for an insured

While the three types of summary records vary slightly in their display, the Adjustments screen does not vary according to how it is accessed. To access one of the options listed, select the desired option.

Chapter 2 Reinsurance Adjustments

If the Select & Display By Policy option is selected from the Adjustments Selection Menu, the Reinsurance Policy Selection window is displayed.



Select Reinsurance Activity Policy

(Adjustments)

Reinsurance Policy Selection

Company 00 Policy ART1 >>

OK

Cancel

There are two ways to access the Reinsurance Adjustments by Policy Summary screen.

- Input the company code and policy number and click **OK**. The Reinsurance Adjustments by Policy Summary screen is displayed.
- From the selection window, click >> from the Policy Number field. The cross reference window is displayed. The cross reference window displays all policies on the system, and a Yes or No to indicate if the policy is reinsured. Press **Page Up** or **Page Down** to move through multiple screens of the cross reference list. Use the up and down arrow keys to move within a screen.

To access one of the listings on the cross reference window, select the desired item. The Reinsurance Adjustments by Policy screen is displayed.

2.1 Reinsurance Adjustments By Policy

After selecting a particular policy, the Reinsurance Adjustments By Policy screen is displayed. The screen lists all adjustments for the selected policy.

Reinsurance Adjustments By Policy			
Company	01	Policy	000TST000040
			Total Adjustment Records 3
Adjustment Records			
SQ	Effec Date	Treaty	Adjustment Description
01	02/01/2001	TREATY1	Premium And Expenses To Bring Reinsurance Current
01	03/01/2001	TREATY1	Premium And Expenses To Bring Reinsurance Current
01	04/01/2001	TREATY1	Premium And Expenses To Bring Reinsurance Current

The Reinsurance Adjustments screen for any of the records listed can be accessed by clicking on the desired record.

The following table contains field definitions for the Summary screen.

Field	Description
Company	The company code selected is displayed in this field.
Policy	The policy number selected is displayed in this field.
Total Adjustment Records	This field displays the total number of adjustment records for the policy listed.
SQ	The benefit sequence number to which the adjustment is applicable is displayed in this field.
Effec Date	The effective date of the adjustment on that line is displayed in this field.

Field	Description
Treaty	The treaty to which the policy is assigned is displayed in this field.
Adjustment Description	A description of the adjustment is listed in this field. The system automatically assigns a description for system added adjustments. For example, if premiums or expenses need to be adjusted, (such as with a case that is not current in terms of reinsurance processing and is being caught up), the description is premium and expenses to bring reinsurance current.

2.2 Reinsurance Adjustments Screen

A Reinsurance Adjustment Record can be added to adjust the amount of reinsurance premium or expense allowances for future Reinsurance Processing. In addition, the system automatically adds adjustment records in certain processing circumstances.

Reinsurance Adjustments Information					
Company Code	01	Policy Number	000TST000040	Benefit Sequence	01
Treaty Code	TREATY1	Effective Date	02/01/2001	Record Sequence	0001
Insured	JAMES Q RIDER				
Reinsurer	TREATY1				
Date Added	07/05/2001	Time Added	16:05	Coder Added	DEW
Report Adjustment In Month	05	Of Year	2001		
Adj Description	Premium And Expenses To Bring Reinsurance Current				
Reporting Code	Apply And Separate				
Generation Code	Automatically Generated				
Adjustments	(Positive Numbers Add To Amounts, Negative Numbers Subtract)				
Amount Reinsured		Gross Reinsurance Premium		55.40	
Death Benefit Amount		Substandard/Flat Extra Premium			
Specified Amount		Normal Expense Allowance		47.09	
Fund Balance		Substandard Expense Allowance			
Net Amt At Risk		Flat Extra Expense Allowance			
		Coinurance Loan Activity			
		Coinurance Dividends			
		Coinurance Surrenders			
		Net Reinsurance Premium		8.31	
					Next
					Previous
					OK
					Cancel

The following examples illustrate the need for system creation of adjustment records.

- When a reinsurance premium or expense allowance needs to be drawn for more than the current reinsurance cycle, an adjustment record is created for each reinsurance draw date. For example, if a case was not processed for two months by reinsurance processing because it was held up in underwriting, reinsurance processing would create adjustment records for each of the two months that would be caught up on the next cycle process.
- Adjustment records are created for coinsurance treaties whenever a loan, surrender, or dividend is reported and recovered.
- When a reinsured policy is reissued, an Adjustment Record is created after the policy has been activated and the new reinsured amount has been calculated. An Adjustment Record is not created when the reissue is processed and the policy status is changed to Pending. The Reinsurance Detail Record displays the status as Active and the Reason Code as Reissue. The description for the adjustment is Adjustment Due To Policy Reissue.

The following table contains field definitions for the Reinsurance Adjustment screen.

Field	Description
Company Code	The company code to which this adjustment is applicable is displayed in this field.
Policy Number	The policy number to which this adjustment is applicable is displayed in this field.
Benefit Sequence	The benefit sequence number to which this adjustment is applicable is displayed in this field.
Treaty Code	The treaty code to which the policy is assigned is displayed in this field.
Effective Date	The effective date of the adjustment is displayed in this field.
Record Sequence	The first record for each effective date is assigned sequence number 0001. Each additional record assigned on that date is assigned the next subsequent sequence number.
Insured	The name of the insured is displayed in this field.
Reinsurer	The name of the reinsurer is displayed in this field.
Date Added	The system lists the date the record was added in this field.
Time Added	The system lists the time the record was added in this field.
Coder Added	The coder ID of the user adding the record is listed in this field. If the record was added by the system, this field displays the coder ID used when reinsurance processing was run.
Report Adjustment In Month Of Year	These fields determine the month and year the adjustment is reported by reinsurance processing.
Adj Description	A description of the adjustment is listed in this field. The system automatically assigns a description for system added adjustments. For example, if premiums or expenses need to be adjusted, (such as with a case that is not current in terms of reinsurance processing and is being caught up), the description is premium and expenses to bring reinsurance current. For manual adjustments, the description is assigned by the user.

Field	Description
Reporting Code	This field determines how the adjustment is applied by reinsurance processing. S—Apply and Separate The adjustment is applied by reinsurance processing. The adjustment is listed on a separate report line, labeled ADJUSTMENT. C—Apply and Combine The adjustment is applied by reinsurance processing. The adjustment is combined with the normal policy deduction for that month. Thus, it is not identified as an adjustment. N—Do Not Apply The adjustment is not applied by reinsurance processing.
Generation Code	M—Manually Generated A manually generated adjustment is one which is added by the user. A—Automatically Generated If an adjustment is needed to bring the reinsurance premium current, reinsurance processing automatically generates an adjustment record.
Adjustments	The amount of the adjustment and the item adjusted are displayed in this section. For manually added adjustments, input the adjustment(s) in the Adjustments Section. Input a positive number to add to an amount, or a negative number to subtract from an amount.

2.3 Reinsurance Adjustment Record—Add

If a detail record is added manually, it affects reporting and accounting but is not reflected on the Treaty Information from the Reinsurance Detail Record. A reinsurance adjustment record can be added to report adjustments to the following items for a treaty.

- Reinsurance premium
- Substandard or flat extra premium
- Normal expense allowance
- Substandard or flat extra expense allowance
- Coinsurance loans, dividends, or surrenders

Reinsurance Adjustments Information					
Company Code	01	Policy Number	000TST000040	Benefit Sequence	01
Treaty Code	TREATY1	Effective Date	02/01/2001	Record Sequence	0001
Insured	JAMES Q RIDER				
Reinsurer	TREATY1				
Date Added	07/05/2001	Time Added	16:05	Coder Added	DEW
Report Adjustment In Month	05	Of Year	2001		
Adj Description	Premium And Expenses To Bring Reinsurance Current				
Reporting Code	Apply And Separate				
Generation Code	Automatically Generated				
Adjustments	(Positive Numbers Add To Amounts, Negative Numbers Subtract)				
Amount Reinsured		Gross Reinsurance Premium		55.40	
Death Benefit Amount		Substandard/Flat Extra Premium			
Specified Amount		Normal Expense Allowance		47.09	
Fund Balance		Substandard Expense Allowance			
Net Amt At Risk		Flat Extra Expense Allowance			
		Coinsurance Loan Activity			
		Coinsurance Dividends			
		Coinsurance Surrenders			
		Net Reinsurance Premium		8.31	
					Next
					Previous
					OK
					Cancel

Complete the following steps to add an adjustment record.

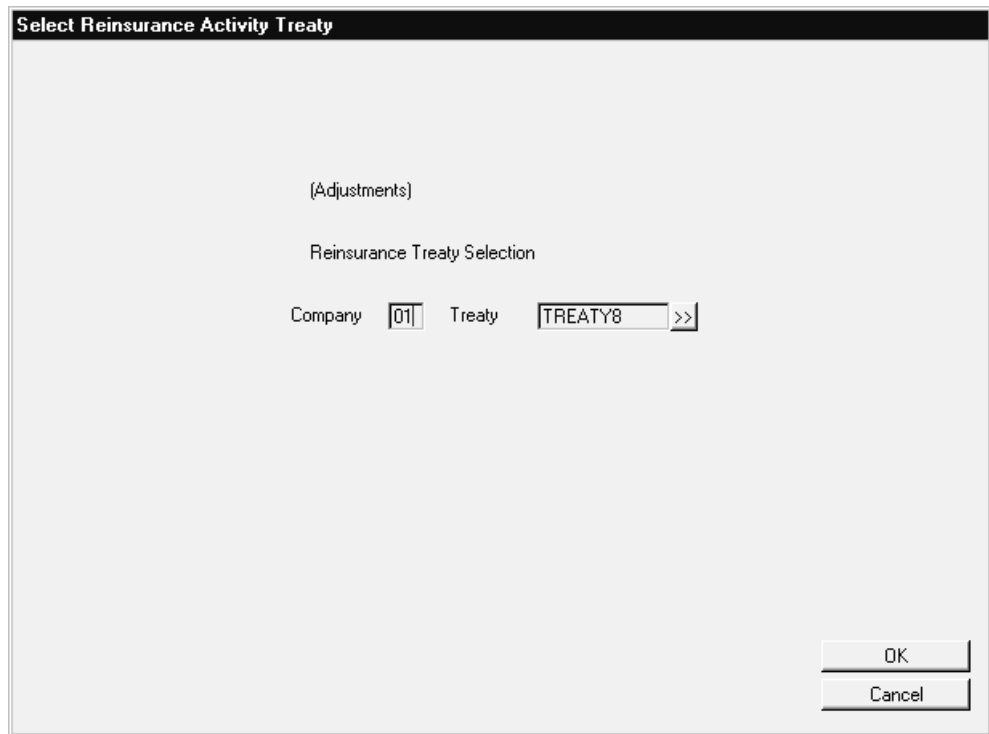
1. From the Reinsurance Adjustments Summary screen click on an existing record. The Reinsurance Adjustments screen is displayed.
2. Complete the fields in the top section of the screen. The Record Sequence field is completed by the system if left blank.
3. Click **OK**. The message *Record Not Found* is displayed.
4. Press **F8**.

5. Complete the Adj Description, Reporting Code, and Generation Code fields.
6. Input the amount of the adjustment in the Adjustments section. Positive numbers add to the amount, negative numbers are deducted.
7. Click **OK** to save the record, or click **Cancel** to end without saving.

Note that the Reinsurance Adjustment Report provides a report of all adjustments for a selected date range.

Reinsurance Adjustments—Select and Display By Treaty

The Select & Display By Treaty option is used to view all adjustment records for a specific treaty.



There are two ways to access the Adjustments Summary Record.

- Input the company code and treaty code and click **OK**. The Reinsurance Adjustments by Treaty Summary screen is displayed.
- From the selection screen, click **>>** from the Treaty field. The cross reference window is displayed. The cross reference window displays all treaty codes. Move through multiple

screens for the cross reference list by clicking **Next** and **Previous**. Use the up and down arrow keys to move within a screen.

To access the summary record for one of the treaties on the cross reference window, click on the desired selection. The selection screen is displayed with the selected treaty in the Treaty field.

Click **OK**. The Reinsurance Adjustments by Treaty Summary screen is displayed.

Move through multiple screens of the cross reference list by clicking the **Next** and **Previous** buttons. Use the up and down arrow keys to move within a screen.

Reinsurance Adjustments By Treaty Summary Record

After selecting a particular treaty, the Reinsurance Adjustments By Treaty Summary screen is displayed. The summary screen lists all adjustments for the selected treaty.

Reinsurance Adjustments By Treaty					
Treaty	TREATY1	Name	TREATY1	Number of Records	163
Adjustment Records					
Co	Policy	SQ	Effec Date	Adjustment Description	
01	MKWLSTLOAN1	01	01/15/2001	Premium And Expenses To Bring Reinsurance Curre	
01	MKWNLTESTA	01	01/20/2001	Premium And Expenses To Bring Reinsurance Curre	
01	20010104006A	01	01/30/2001	Premium And Expenses To Bring Reinsurance Curre	
01	20010104006B	01	01/30/2001	Premium And Expenses To Bring Reinsurance Curre	
01	EMGADVANCE1	01	01/30/2001	Premium And Expenses To Bring Reinsurance Curre	
01	EMGADVANCE2	01	01/30/2001	Premium And Expenses To Bring Reinsurance Curre	
01	EMGARREARS	01	01/30/2001	Premium And Expenses To Bring Reinsurance Curre	
01	EMGARREARS1	01	01/30/2001	Premium And Expenses To Bring Reinsurance Curre	
01	EMGARREARS2	01	01/30/2001	Premium And Expenses To Bring Reinsurance Curre	
01	000TST000027	01	02/01/2001	Premium And Expenses To Bring Reinsurance Curre	
01	000TST000040	01	02/01/2001	Premium And Expenses To Bring Reinsurance Curre	
01	99REIN1	01	02/01/2001	Premium And Expenses To Bring Reinsurance Curre	
01	A990609007 A	01	02/01/2001	Premium And Expenses To Bring Reinsurance Curre	
01	A990609007 B	01	02/01/2001	Premium And Expenses To Bring Reinsurance Curre	
01	CLH38F38	01	02/01/2001	Premium And Expenses To Bring Reinsurance Curre	

The Reinsurance Information Adjustments screen for any of the records listed can be accessed by clicking on the record.

The following table contains field definitions for the fields on the Summary screen.

Field	Description
Treaty	The treaty ID selected is displayed in this field.
Name	The treaty name is displayed in this field.

Field	Description
Number of Records	This field displays the total number of adjustment records for the treaty selected.
Co	The company code selected is displayed in this field.
Policy	The policy number for which an adjustment record is present is displayed in this field.
SQ	The benefit sequence number to which the adjustment is applicable is displayed in this field.
Effec Date	The effective date of the adjustments is displayed in this field.
Adjustment Description	A description of the adjustment is listed in this field.

Reinsurance Adjustments—Select and Display By Insured

The Select & Display By Insured option is used to view all adjustment records for an insured.

Enter Search Information

Enter The Individual Or Business Name All Names

Individual Name

First Middle Last

Social Security Number - -

Business Name

Payor ID Search:

Tax ID Number

Complete the following steps to access the Summary Record By Insured.

1. From the Adjustments Menu select **Select & Display by Insured**. The Name and Address Selection window is displayed.
2. Input the name of the insured and click **OK**.

If the selection is an exact match, the Name and Address screen is displayed. A Confirmation window is displayed with the message, *Is This The Right Person?*.

If the selection was not an exact match to a Name and Address Record, access the record via the Name and Address cross reference window.

3. After selecting the Name and Address Record, the Summary Record is displayed.

Reinsurance Adjustments By Insured Summary Record

After selecting a particular insured, the Reinsurance Adjustments By Insured Summary screen is displayed. The summary screen lists all adjustments for the selected insured.

Reinsurance Adjustments By Insured

InsuredINSURED TWO

Number of Records27

Adjustment Records

Co	Policy	SQ	Effec Date	Treaty	Adjustment Description
01	MKWLSTLOAN1	01	01/15/2001		Premium And Expenses To Bring Reinsu
01	MKWLSTLOAN1	01	02/15/2001		Premium And Expenses To Bring Reinsu
01	MKWLSTLOAN1	01	03/15/2001		Premium And Expenses To Bring Reinsu
01	MKWLSTLOAN1	01	04/15/2001		Premium And Expenses To Bring Reinsu
01	MKWTRANSFEE1	01	02/01/2001		Premium And Expenses To Bring Reinsu
01	MKWTRANSFEE1	01	03/01/2001		Premium And Expenses To Bring Reinsu
01	MKWTRANSFEE1	01	04/01/2001		Premium And Expenses To Bring Reinsu
01	MKWTRANSFEE2	01	02/01/2001		Premium And Expenses To Bring Reinsu
01	MKWTRANSFEE2	01	03/01/2001		Premium And Expenses To Bring Reinsu
01	MKWTRANSFEE2	01	04/01/2001		Premium And Expenses To Bring Reinsu
01	MKWINFLRDR5	01	02/01/2001		Premium And Expenses To Bring Reinsu
01	MKWINFLRDR5	01	03/01/2001		Premium And Expenses To Bring Reinsu
01	MKWINFLRDR5	01	04/01/2001		Premium And Expenses To Bring Reinsu
01	MKWINFLATION	01	02/01/2001		Premium And Expenses To Bring Reinsu
01	MKWINFLATION	01	03/01/2001		Premium And Expenses To Bring Reinsu

Next

Previous

OK

Cancel

Next

Previous

OK

Cancel

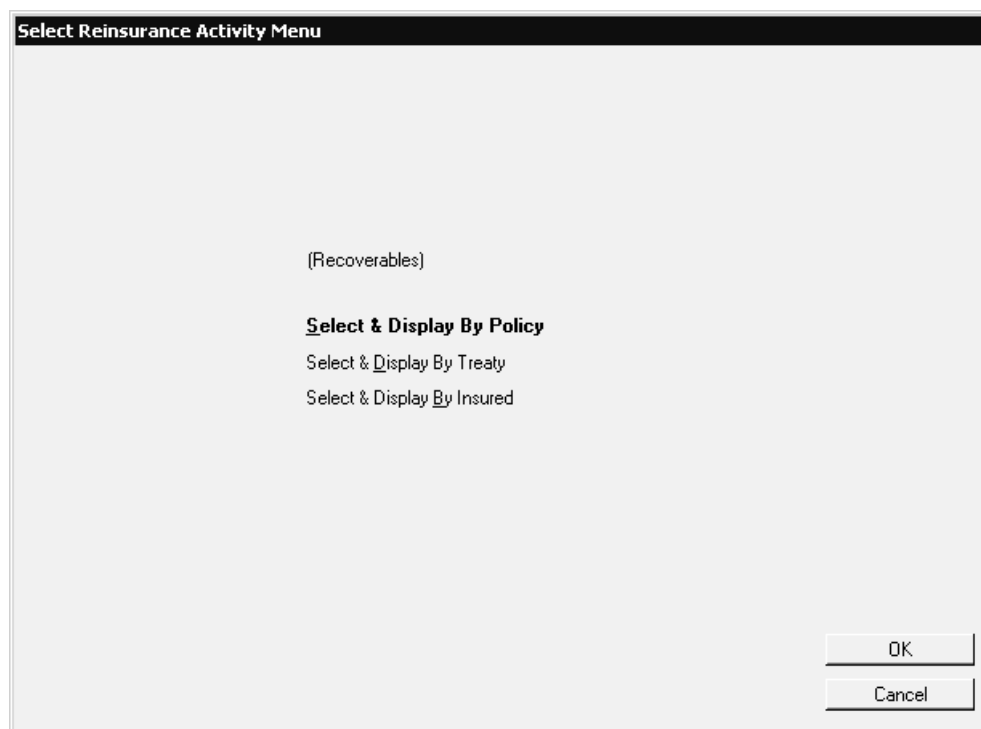
The Reinsurance Adjustments Information screen for any of the records listed can be accessed by clicking on the desired record. Refer to Section 3, 2.3—Reinsurance Adjustment Record—Add on page 3-40 in this book for information about adding an adjustments record.

The following table contains field definitions for the Summary screen.

Field	Description
Insured	The name of the insured is displayed in this field.
Number of Records	This field displays the total number of adjustment records present for the insured selected.
Co	The company code selected is displayed in this field.
Policy	The policy number for which an adjustment record is present is displayed in this field.
SQ	The benefit sequence number to which the adjustment is applicable is displayed in this field.
Effec Date	The effective date of the adjustments is displayed in this field.
Treaty	The treaty to which the adjustment is applicable is displayed in this field.
Adjustment Description	A description of the adjustment is listed in this field.

Chapter 3 Reinsurance Recoverables Selection Menu

The Reinsurance Recoverables option is used to record the recovery of death benefits paid from the reinsurer. Processing a death claim when part or all of the benefit is reinsured produces a debit to transaction code 0370—YRT Recoverables for YRT Treaties, or 0360—Coinsurance Recoverables for Coinsurance Treaties for the amount reinsured at the policy level. When the payment is received from the reinsurer, it can be recorded using the Reinsurance Recoverables option. Recording the transaction creates a cash deposit and creates an offsetting credit to the 0370 or 0360 transaction codes.



The following pages provide a processing example and detail on how to add a recoverable record.

3.1 Reinsurance Recoverables Example

The following screens provide an example of the Recoverables Process.

Reinsurance Detail Record Before Death Claim

This record shows that \$50,000.00 is reinsured (Retention is \$50,000.00 and the net amount at risk is \$100,000). 60% is reinsured under Treaty 1 and 40% is reinsured under Treaty 2.

Enter Reinsurance Detail									
Company Code	01 >>	Policy Number	KGFREIN3 >>	Ben Seq	01 >>	Eff DT	01/01/1999 >>	Rec Seq	0002 >>
Benefit Data									
Insured Name JUANITA JORDAN									
Issue Date	01/01/1999	Benefit Status	Active	Date	01/01/1999	Line of Business	Traditional		
Plan Code	KGFWL	Benefit Type	Traditional Base	Sup Ben Type		Issue State	IN		
Issue Age	025	Gender	Female	U/W Class	5	Death Benefit Option			
Policy Fee		Benefit Premium	1,290.00	Death Benefit Amount	100,000.00				
Table Rating		Source Code		Specified Amount	100,000.00				
Percent Rating		Converted Issue		Fund Balance					
Flat Xtra		Converted U/W		Net Amt At Risk	100,000.00				
Percent Cease Date		Converted Issue		Converted Amount					
Flat Cease		Joint Age Derived	No	Maint Const	Yes	Trad NAR		Calc Prem Option	Current
Reinsurance Data									
Reinsurance Status	Active	Treaty/Allocation Percent (F3 and Select for Treaty Info)							
Reinsurance	New Issue								
Retention	No	TREATY1	60.00						
Retention Amt	50,000.00	TREATY2	40.00						
Joint Retention									
Primary Retention	50,000.00								
History Data									
Coder ID	KGf	Creation	New Business	Date/Time Added	04/11/2000	13:13			
							Inquiry		
							Terminate		
							OK		
							Cancel		

Death Claim Accounting

When a death claim is processed, the following transactions are part of the accounting produced at the policy level.

Debit	0370 (YRT Recoverables)	\$ 30,000.00	
	Credit	0532 (Death Claims Reinsured)	\$ 30,000.00
Debit	0370 (YRT Recoverables)	\$ 20,000.00	
	Credit	0532 (Death Claims Reinsured)	\$ 20,000.00

The first transaction represents the amount reinsured under Treaty 1 (60% of \$50,000.00). The second transaction represents the amount reinsured under Treaty 2 (40% of \$50,000.00).

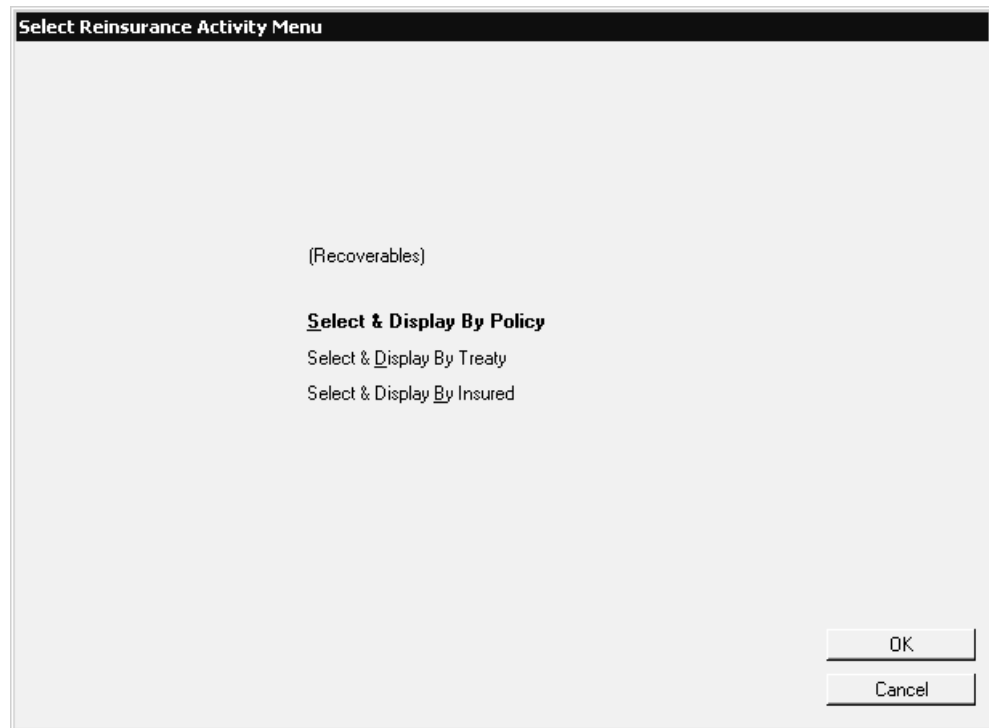
Recoverable Accounting

Assume that \$30,000.00 is collected from the Treaty 1 reinsurer and \$20,000.00 is collected from the Treaty 2 reinsurer. When the deposit is added in the Recoverables Section, the following accounting is produced at the policy level.

Debit	0040 (Misc Cash Receipts)	\$ 30,000.00	
	Credit 0370 (YRT Recoverables)		\$ 30,000.00
Debit	0040 (Misc Cash Receipts)	\$ 20,000.00	
	Credit 0370 (YRT Recoverables)		\$ 20,000.00

3.2 Reinsurance Recoverables Selection Menu

The recoverable benefits for a selected policy, treaty, or insured can be accessed from the Reinsurance Recoverables Activity Menu.



From the Reinsurance Activity Menu select **Reinsurance Recoverables**. The Selection Menu is displayed.

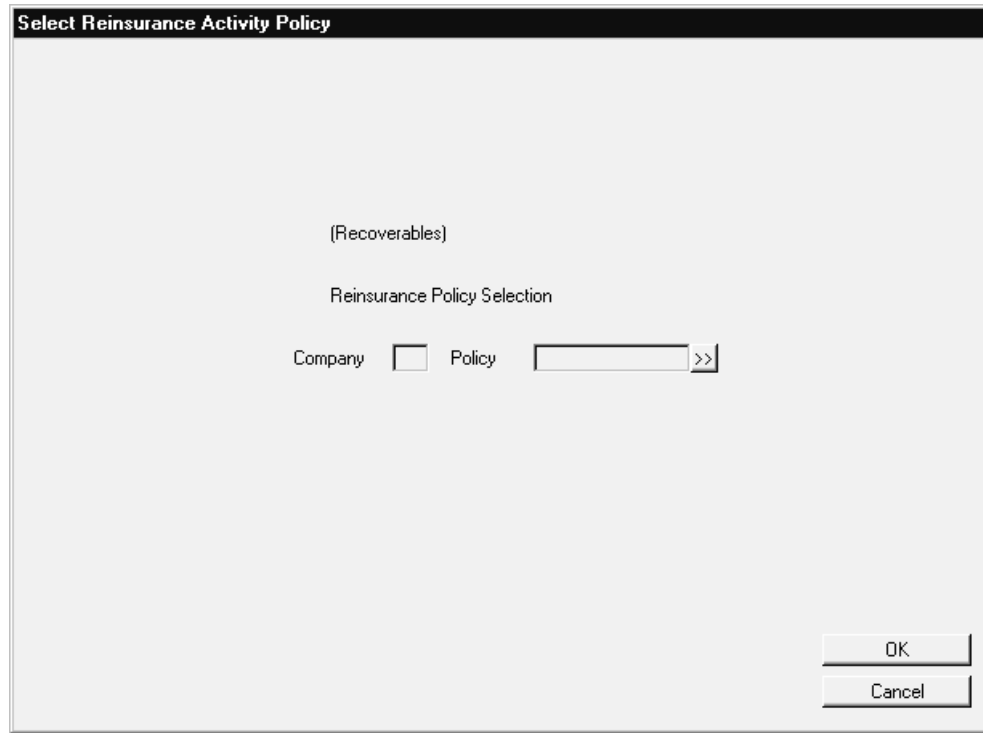
The selection made on this menu determines which Reinsurance Recoverables Summary record is accessed. The Recoverables Detail screen is accessed from the Summary Record. The Summary Record can be selected or displayed by the following options.

- Select & Display by Policy
- Select & Display by Treaty
- Select & Display by Insured

While the three types of Summary Records vary slightly in their display, the Recoverables Detail screen does not vary according to how it is accessed.

3.3 Reinsurance Recoverables By Policy

If the Select & Display By Policy option is selected from the Recoverables Selection Menu, the screen below is displayed.



Select Reinsurance Activity Policy

(Recoverables)

Reinsurance Policy Selection

Company ☐ Policy >>

OK

Cancel

There are two ways to access the Recoverables Summary Record.

- Input the company code and policy number and click **OK**. The Reinsurance Recoverables by Policy Summary record is displayed.
- From the selection window, click >> from the Policy Number field. The cross reference window is displayed. The cross reference window displays all policies on the system, and a Yes or No to indicate if the policy is reinsured. Press **Page Up** or **Page Down** to move through multiple screens of the cross reference list. Use the up and down arrow keys to move within a screen.

To access one of the listings on the cross reference window, select the desired item. The Reinsurance Recoverables by Policy screen is displayed.

Reinsurance Recoverables By Policy Summary Record

After selecting a particular policy, the Reinsurance Recoverables By Policy screen is displayed. The Reinsurance Recoverables By Policy Summary screen lists all recoverable benefits for the selected policy. The amount reinsured and amount recovered for each benefit are displayed on this screen.

Reinsurance Recoverables By Policy								
Company	01	Policy	000TST000022	Reinsurance	250,000.00	Recovery	0.00	
Benefit/Treaty Information								
SQ	S	RC	TP	SU	Plan Code	Insured Name	Amt Reinsured	Recoverable Amt
01	A	BA	ART			VERNON Q GEORGE	250,000.00	.00
								Next Previous OK Cancel

The Recoverable Detail screen for any of the records listed can be accessed by clicking on the desired record. The detail screen displays detailed information about how the reinsured amount is distributed among multiple treaties, if applicable. Recoverable amount deposits are added from the detail screen.

The following table contains field definitions for the Reinsurance Recoverables by Policy Summary screen.

Field	Description
Company	The company code selected is displayed in this field.
Policy	The policy number selected is displayed in this field.
Reinsurance	The total amount reinsured for the policy selected is displayed in this field.
Recovery	The total amount recovered for the policy selected is displayed in this field.
SQ	The benefit sequence number is displayed in this field.
S	The benefit status is displayed in this field.

Field	Description
RC	The benefit status reason code is displayed in this field.
TP	The benefit type is displayed in this field.
SU	If the benefit is an SU Benefit, SU is displayed in this field.
Plan Code	The coverage ID is displayed in this field.
Insured Name	The insured name is displayed in this field.
Amt Reinsured	The amount reinsured for the benefit listed on the same line is displayed in this field.
Recoverable Amt	The amount recovered for the benefit listed on the same line is displayed in this field.

Reinsurance Recoverables By Policy Detail Screen

The date and amount of a reinsurance recovery for each reinsurer on this benefit are listed on the Recoverable Detail screen. The Recoverable Detail screen for a recoverable benefit can be accessed by clicking on the desired record.

When the detail screen is first displayed, the most recent record is displayed. Move through multiple screens by clicking the **Next** and **Previous** buttons. Every time a recoverable is recorded, a new detail record is created.

Enter Reinsurance Recoverable Detail												
Company Code	01		Policy Number	ACCTGED1		Benefit Sequence	01		Effective Date	01/01/1996	Record Sequence	0002
Benefit Data Insured			STEVE GARVEY									
Status	A	Date	01/01/1996		Death Benefit	100,000.00		NAR	100,000.00			
Reinsurance Data			Status	A	Rein Category	NI		Retention	25,000.00			
Treaty	Type	Lst Pm Dt	Reinsured Amount		Recovery Dt	Recovery Amount						
TREATY8	F		75,000.00									
History Data												
Coder ID	TLS		Creation	New Business		Date/Time Added	06/25/1997		16:38			
Next												
Previous												
OK												
Cancel												

The following table contains field definitions for the Recoverable Detail screen.

Field	Description
Company Code	The company code is displayed in this field.
Policy Number	The policy number is displayed in this field.
Benefit Sequence	The benefit sequence number is displayed in this field.
Effective Date	The record effective date is displayed in this field. Note that a policy can have multiple recoverable records.
Record Sequence	The record sequence number is displayed in this field. If there is more than one record for a particular effective date, each additional record is assigned a subsequent record sequence number.
Benefit Data	Information about the reinsured benefit is displayed in this section.
Insured	The name of the insured is displayed in this field.
Status	The benefit status is displayed in this field.
Date	The benefit issue date is displayed in this field.
Death Benefit	The amount of the death benefit is listed in this field.
NAR	The net amount at risk as of the effective date is displayed in this field.
Reinsurance Data	Reinsurance data for the benefit is displayed in this section.
Status	The reinsurance status is displayed in this field. A—Active P—Pending T—Terminated
Rein Category	NI—New Issue FY—First Year RN—Renewal RI—Reissue RS—Reinstatement AR—Auto Recapture SR—Surrender DC—Death Claim EB—Exchange Benefit

Field	Description
Rein Category (continued)	EX—Expiration LP—Lapse MA—Maturity CA—Canceled OT—Other Terminations
Retention	The retention amount for the policy listed is displayed in this field.
Treaty	The treaty ID to which this policy is assigned is displayed in this field. Press F8 from this field to input the recovery date and the recovered amount.
Type	The treaty type is displayed in this field. A—Automatic B—Bulk F—Facultative G—Group Bulk
Lst Pm Dt	The last premium pay date from the reinsurance detail record is displayed in this field.
Reinsured Amount	The reinsured amount as of the effective date is displayed in this field.
Recovery Dt	When an amount is recovered, the user updates this field in order to reflect the recovery date.
Recovery Amount	When an amount is recovered, the user updates this field in order to reflect the recovery amount.
History Data	This section displays information about when the record was added.
Coder ID	This field displays the Coder ID of the user who carried out the processing that resulted in this record being created.
Creation	This field lists the process that resulted in this record being created.
Date/Time Added	This field displays the date and time that the record was added.

Reinsurance Recoverables—Add Recoverable

Complete the following steps to record a recoverable deposit and add a new record.

1. Access the Reinsurance Recoverable Detail screen for the applicable benefit.
2. Press **F10**.
3. Position the cursor on the treaty to which the deposit applies, if more than one treaty is listed.
4. Press **F8** to add. The Recoverable Detail Entry screen is displayed.

Enter Reinsurance Recoverable Detail									
Company Code	01	Policy Number	000TST000022	Benefit Sequence	01	Effective Date	05/31/2000	Record Sequence	0001
Benefit Data Insured		VERNON Q GEORGE							
Status	A	Date	01/01/2000	Death Benefit	300,000.00	NAR	300,000.00		
Treaty		Type	Last Premium Date	Reinsured Amount					
TREATY11		F	05/01/2000	250,000.00					
Recovery Date		Recovery Amount		Total Recovery Amount					
								Next	
								Previous	
								OK	
								Cancel	

5. Complete the Recovery Date and Recovery Amount fields and click **OK**. The detail screen is displayed with the message *Reinsurance Accounting Generated*.
6. From the detail screen, click **OK** to save and click **Cancel** to exit.

Reinsurance Recoverables By Treaty

If the Select & Display By Treaty option is selected from the Recoverables Selection Menu, the Reinsurance Treaty Selection Menu is displayed.

Select Reinsurance Activity Treaty

(Recoverables)

Reinsurance Treaty Selection

Company 01 Treaty TREATY1 >>

OK

Cancel

There are two ways to access the Reinsurance Recoverables by Treaty Summary screen.

- Input the company code and treaty code and click **OK**. The Reinsurance Recoverables by Treaty Summary screen is displayed.
- Click >> from the Treaty field. The treaty cross reference window is displayed with all treaties listed. Move through multiple pages of the cross reference list by clicking the **Next** and **Previous** buttons.

To access one of the listed treaties, click on the desired treaty. The Recoverables Selection Menu is displayed with the Company and Treaty fields completed for the record selected. Click **OK** to display the Reinsurance Recoverables by Treaty Summary screen.

Reinsurance Recoverables By Treaty Summary Record

After selecting a particular treaty, the Reinsurance Recoverables By Treaty screen is displayed. This screens list all recoverable benefits for the selected treaty. The amount reinsured and amount recovered for each benefit is displayed on the Reinsurance Recoverables By Treaty Summary screen.

Reinsurance Recoverables By Treaty									
Treaty Code		TREATY1							
Reinsurer Name		TREATY1							
Co	Policy	SQ	S	RC	TP	Plan Code	Amount Reinsured	Recovery Amount	Recover Date
01	99REIN01	01	T	DC	BF	UL1	246,985.00	0.00	00/00/0000
01	99REIN03	01	T	DC	BF	UL1	147,029.10	0.00	00/00/0000
01	99REIN04	01	T	DC	BF	UL1	147,025.29	0.00	00/00/0000
01	99REIN05	01	T	DC	BF	UL1	147,020.26	0.00	00/00/0000
01	99REIN06	01	T	DC	BF	UL1	147,023.80	0.00	00/00/0000
01	99REIN11	01	T	DC	BF	UL1	148,237.00	0.00	00/00/0000

The Reinsurance Recoverable Detail screen for any of the records listed can be accessed by clicking on the desired record.

The following table contains field definitions for the Reinsurance Recoverables by Treaty Summary screen.

Field	Description
Treaty Code	The treaty code selected is displayed in this field.
Reinsurer Name	The reinsurer name for the treaty code selected is displayed in this field.
Co	The company code of the policy listed on the same line is displayed in this field.
Policy	The policy number is displayed in this field.
SQ	The benefit sequence number is displayed in this field.
S	The benefit status is displayed in this field.
RC	The benefit status reason code is displayed in this field.

Field	Description
TP	The benefit type is displayed in this field.
Plan Code	The coverage ID is displayed in this field.
Amount Reinsured	The amount reinsured for the benefit listed on the same line is displayed in this field.
Recovery Amount	The amount recovered for the benefit listed on the same line is displayed in this field.
Recover Date	The date of the recovery is displayed in this field.

Reinsurance Recoverables By Insured

If the Select & Display By Insured option is selected from the Recoverables Selection Menu, the Name and Address Selection Menu is displayed.

Enter Search Information

Enter The Individual Or Business Name All Names

Individual Name

First Middle Last

Social Security Number - -

Business Name

Payor ID Search:

Tax ID Number

OK

Cancel

Complete the following steps to access the Reinsurance Recoverables by Insured Summary screen.

1. From the Recoverables Selection Menu select **Select & Display by Insured**. The Name and Address Selection window is displayed.
2. Input the Name and Address of the insured and click **OK**.

If the input name has an exact match on the Name and Address file, the Name and Address screen is displayed. A Confirmation window is also displayed with the message, *Is This The Right Person?*. Select **Yes** to confirm or select **No** to exit without saving.

If the selection is not an exact match to a Name and Address Record, access the record via the Name and Address cross reference window.

3. After selecting the Name and Address Record, the summary record is displayed.

Reinsurance Recoverables By Insured Summary Record

After selecting a particular insured, the Reinsurance Recoverables By Insured screen is displayed. The screen lists all benefits for the selected insured. The amount reinsured and amount recovered for each benefit is displayed on this screen.

Reinsurance Recoverables By Insured									
Insured Name		INSURED TWO							
Reinsured Amount		3,050,390.06				Recovery Amount		0.00	
Co	Policy	SQ	S	RC	TP	Plan Code	Rein Stat	Amount Reinsured	Recovery Amount
01	MKWLSTLOAN1	01	A	BF		MKWUL	A	191,494.09	0.00
01	MKWLSTLOAN2	01	A	BF		MKWUL	A	193,041.97	0.00
01	MKWFACTEST1	01	T	LP	BA	MKWUL	T	100,000.00	0.00
01	MKWTRANSFEE1	01	A	BF		MKWUL2	A	98,129.87	0.00
01	MKWTRANSFEE2	01	A	BF		MKWUL2	A	98,129.87	0.00
01	MKWTRANSFEE3	01	A	BF		MKWUL2	A	150,000.00	0.00
01	MKWTRANSFEE4	01	A	BF		MKWUL2	A	150,000.00	0.00
01	MKWTRANSFEE5	01	A	BF		MKWUL2	A	150,000.00	0.00
01	MKWPAACDATE3A	01	A	BA	WL		A	200,000.00	0.00
01	MKWINFLRDR	01	A	BF		MKWUL	A	100,000.00	0.00
01	MKWINFLRDR1	01	A	BF		MKWUL	A	100,000.00	0.00
01	MKWINFLRDR2	01	A	BF		MKWUL	A	100,000.00	0.00
01	MKWINFLRDR5	01	A	BF		MKWUL	A	87,459.60	0.00
01	MKWINFLATION	01	A	BF		MKWUL	A	91,310.92	0.00
01	MKWINCREASE1	01	A	BF		MKWUL	A	150,000.00	0.00

The Reinsurance Recoverable Detail screen for any of the records listed can be accessed by clicking on the desired record.

The following table contains field definitions for the Recoverables Summary screen.

Field	Description
Insured Name	The name of the insured is displayed in this field.
Reinsured Amount	The total amount reinsured for the insured is displayed in this field.
Recovery Amount	The total amount recovered for the insured listed is displayed in this field.
Co	The company code of the policy listed on the same line is displayed in this field.
Policy	The policy number is displayed in this field.
SQ	The benefit sequence number is displayed in this field.
S	The benefit status is displayed in this field.
RC	The benefit status reason code is displayed in this field.

Field	Description
TP	The benefit type is displayed in this field.
Plan Code	The coverage ID is displayed in this field.
Rein Stat	The reinsurance status is displayed in this field. A—Active P—Pending T—Terminated
Amount Reinsured	The amount reinsured for the benefit listed on the same line is displayed in this field.
Recovery Amount	The amount recovered for the benefit listed on the same line is displayed in this field.

3.4 Reinsurance Accounting

Premium and expense allowance accounting created by reinsurance processing is tracked at the treaty level (reinsurance accounting is only generated if **Y—Yes** is selected in the Generate Reinsur Acctg field on the Reinsurance Management Options Record).

Complete the following steps to access treaty level accounting from Inforce.

1. From the Contract screen, input the company code and the treaty code as the policy number. The system displays the message *Record Not Found*, but accounting information can still be displayed.
2. Click **Accounting**. The Accounting Menu is displayed.
3. Select **Accounting History**. The Accounting Summary by Policy screen is displayed.
4. Click **Summary** to display the Accounting Summary by Policy screen in date order. Move through multiple screens by clicking the **Next** and **Previous** buttons.

[illegible]

The transaction codes related to reinsurance are included in the following list.

- 0071 Reinsurance Clearing
- 0075 Reinsurance Payable
- 1170 Coinsurance Loan
- 1171 Coinsurance Surrender
- 1172 Coinsurance Dividend
- 0320 Coinsurance Premium (First Year)
- 0325 Coinsurance Premium (Renewal)
- 0330 YRT Premium (First Year)
- 0335 YRT Premium (Renewal)
- 0340 Coinsurance Expense (First Year)
- 0345 Coinsurance Expense (Renewal)
- 0350 YRT Expense Allowance (First Year)
- 0355 YRT Expense Allowance (Renewal)
- 0360 Coinsurance Recoverable
- 0370 YRT Recoverable
- 0532 Death Claim/Reinsurance

3.5 External Reinsurance Information

External Reinsurance Information can be added to a policy through Validation, Inforce, and Pconvert. The information entered is informational only and does not affect reinsurance processing. The record contains information such as reinsurer, ceded amount, shopped or non shopped, and underwriting basis (automatic or facultative) for a specific policy.

External reinsurance is available for BF (universal life base), BA (traditional base), OR (other rider), and SU (supplemental benefits) benefits only and is accessed through Validation or the Benefit Detail screen in Inforce.

External Reinsurance Screen

Co: 01 Policy: MKWLSTLOAN1
Ben: 01 Type: BF Sub-Type: Plan Code: MKWUL
Insured: INSURED TWO

Reinsurance Code: ☐
Reinsurance Indicator:
Underwriting Basis:
Shopped Indicator:

Facultative Reins

Ceded Amount

Done

Complete the following steps to access the external reinsurance data input screen.

New Business

1. Display the pending policy in **Validation**.
2. Press **F3**. The Underwriting screen is displayed.
3. Press **Alt+F4**. A cross reference screen is displayed with a list of benefits eligible for external reinsurance.

- Click on the desired benefit and click **OK**. The External Reinsurance screen is displayed for the selected benefit.

[illegible]

Inforce

1. Display the contract screen for the desired policy.
2. Click **Inquiry**. The Inquiry Menu is displayed.
3. Select **Benefits**. The Benefit Summary screen is displayed.
4. Click on the desired benefit. The Benefit Detail screen is displayed.
5. Press **Alt+F4**. The External Reinsurance screen is displayed for the selected benefit.

When the External Reinsurance screen is displayed, it is in update mode. The fields can be input, changed, and saved. Click **Done** to save changes.

External Reinsurance Screen

Co: 01 Policy: PPG08
 Ben: 01 Type: BF Sub-Type: Plan Code: UL1
 Insured: MR RAYMOND JAY JOHNSON SR

Reinsurance Code: 0
 Reinsurance Indicator: Retained Fully
 Underwriting Basis: Facultative
 Shopped Indicator: Non-Shopped

Facultative Reins Ceded Amount

Done

The following table contains field definitions for the External Reinsurance screen.

Field	Description
Reinsurance Code	This field is required if the Ext Reins field on the coverage record is set to Yes, indicating that reinsurance information is required for a coverage. Valid values are 0—9.
Reinsurance Indicator	N—None R—Retained Fully C—Ceded
Underwriting Basis	A—Automatic The reinsurer will provide for all amounts in excess of the company's retention limit. If selected, the remaining fields are not accessible. F—Facultative The reinsurer independently underwrites each case before agreeing to reinsure it. If Facultative is selected, the remaining fields on the screen can be entered.

Field	Description
Shopped Indicator	S—Shopped N—Non-Shopped
Facultative Reins	Input the name of the reinsuring company. Up to 25 characters can be input.
Ceded Amount	The amount for which each reinsuring company is responsible.

Pconvert

The external reinsurance data can be added through **Pconvert** by using the 3D7, 3D8, and 3D9 additional policy miscellaneous file information sections.

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INDEX

B

Binding Limits Table 2-40

C

Coinurance Selection Window 2-38

Conversion Rate ID Field 2-42

E

External Reinsurance Information 3-64

M

Multiple Reinsurer — Excess Field 2-27

R

Reinsurance Accounting 3-62

Reinsurance Activity 3-1

Reinsurance Activity Menu 1-7

Reinsurance Adjustment Record—Add 3-40

Reinsurance Adjustments 3-34

Reinsurance Adjustments By Insured Summary Record 3-44

Reinsurance Adjustments By Policy 3-35

Reinsurance Adjustments By Treaty Summary Record 3-42

Reinsurance Adjustments Screen 3-37

Reinsurance Adjustments Selection Menu 3-33

Reinsurance Adjustments—Select and Display By Insured 3-43

Reinsurance Adjustments—Select and Display By Treaty 3-41

Reinsurance Calculate Policy Benefit or Life Example 2-13

Reinsurance Detail Information 3-5

Reinsurance Detail Record—Add 3-19

Reinsurance Detail Record—Select and Display By Policy 3-7

Reinsurance Detail Screen 3-10

Reinsurance File and Segment Relationships 2-5

Reinsurance Info By Insured Summary Record 3-31

Reinsurance Info By Policy Summary Record 3-8

Reinsurance Info By Treaty Summary Record 3-28

Reinsurance Information By Insured 3-30

Reinsurance Menu Selection 1-5

Reinsurance Recoverables By Insured 3-59

Reinsurance Recoverables By Insured Summary Record 3-60

Reinsurance Recoverables By Policy 3-50

Reinsurance Recoverables By Policy Detail Screen 3-52

Reinsurance Recoverables By Policy Summary Record 3-51

Reinsurance Recoverables By Treaty 3-56

Reinsurance Recoverables By Treaty Summary Record 3-57

Reinsurance Recoverables Example 3-47

Reinsurance Recoverables Selection Menu 3-46, 3-49

Reinsurance Recoverables—Add Recoverable 3-55

Reinsurance Reports 1-8

Reinsurance Setup Coverage Segments 2-49

Reinsurance Setup Menu 1-6, 2-8

Reinsurance Subsystems 1-4

Reinsurance System Introduction 1-1

Reinsurance System Menu 2-7

Reinsurance System Setup 2-1

Reinsurance Trace Routine 2-47

Reinsurance Treaty Selection 3-26

Reinsurance Use Cumulative Retention or Find Example 2-14

Reinsurance—Cloning a Treaty 2-44

Reinsurance—Terminate 3-25

Reinsurance—Updating a Treaty 2-45

Retention Limits File 2-9

Retention Limits File—Maximum Issue Age Example 2-17

Retention Limits File—Start and Stop Date Example 2-15

Retention Override 3-23

S

Substandard Reinsurance Premium 2-43

T

Treaty File 2-29

Treaty File Record—Add 2-30

Treaty Selection File 2-19

Treaty Selection File Record—Add 2-20

Treaty Selection File—Multiple Reinsurer 2-24

Treaty Selection File—Multiple Reinsurer Example 2-26

Treaty Selection File—Selection Code Example 2-25

Treaty Selection File—Single Reinsurer 2-22

Treaty/Allocation Detailed Information 3-15